

Succession, Stability, and Sovereign Bonds in Sub-Saharan Africa

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Abstract

Does regulating succession help autocracies access foreign financial markets? Sovereign debt is a critical tool for modern states, but states must convince foreign investors that the state will repay its debts. Although many autocracies have incentives to repay their debts, political instability can reduce autocratic access to financial markets. Succession rules help autocracies borrow money by reducing the probability of coups after leader vacancies and signaling, more broadly, that coups are unlikely. Using data on sub-Saharan Africa from 1990 to 2016, I show that autocracies without succession rules are virtually excluded from sovereign bond markets. The argument is supported with three pieces of evidence: descriptive tables showing that succession rules separate borrowers and non-borrowers, panel regression models, and qualitative analyses of Cameroon and investor statements. My argument and findings demonstrate that autocratic succession rules matter for outcomes beyond domestic survival and further explain the heterogeneity in the borrowing potential of autocracies.

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“The creation of the senate is intended in part to clarify succession in the African oil producer nation, whose long-serving President Biya is now 80 years old.”

—Business news report on Cameroon holding Senate elections and creating a constitutional successor

Sovereign debt presents a classic problem of political economy. Investors can lend money to the state and eventually be repaid with interest, but their investment comes with inherent risk. States are sovereign. If they default on their debts, either from unwillingness or inability, investors have little recourse to recoup their investments or punish bad behavior. Debt is a critical tool for modern states. Governments use debt to fund public policy and address emergencies without raising taxes to excessive levels. Alternatively, they may use debt to purchase rewards for narrow sets of supporters and increase their grasp on power. Though their motivations may vary, most states today must convince investors that they are safe partners for borrowing.

Autocracies potentially exacerbate the threat of sovereign default due to institutional differences. Institutions can create credible commitments to repay debts by placing constraints on executives (Cox 2016; Cox and Saiegh 2018; North and Weingast 1989; Saiegh 2013) and giving control over policy to actors who prefer repayment (Stasavage 2002; 2016). Democracies also hold competitive elections that investors can use to punish leaders who default (Schultz and Weingast 2003). Both mechanisms may provide democracies with advantages in sovereign borrowing. Since democracies typically place greater limitations on the executive and elections provide a mechanism for bondholders and other actors with an interest in repayment to punish the government for default, democracies potentially borrow money on better terms (Ballard-Rosa, Mosley, and Wellhausen 2021; Beaulieu, Cox, and Saiegh 2012; Schultz and Weingast 2003).

The incentives for autocracies suggest an alternative story. Many autocracies rely on debt and, therefore, consistently repay. Dictators retain power by rewarding small groups of key supporters with private goods (Bueno de Mesquita et al. 2003). Debt is a powerful tool for rewarding allies. Through debt, dictators can increase the provision of private rewards without increasing the tax burden or potentially increase rewards beyond the amount that taxes and other domestic revenue could support. The importance of debt to dictators can make auto-

cratic repayment credible through the dictator's incentives. States that default have increased borrowing costs, such as higher interest rates and limited market access (Cruces and Trebesch 2013; Tomz 2007). These punishments are most effective against dictators. Downgrades in credit ratings have a significantly higher effect on dictators losing power than their democratic counterparts (DiGiuseppe and Shea 2015). Autocracies can have a strong basis for credible repayment if they need debt for survival.

In this paper, I argue that succession rules can help autocracies resolve one barrier to borrowing: political instability. Political instability, such as leadership turnover and public unrest, reduces the ability of autocracies to borrow money, even when there is otherwise a credible commitment to repay. Sovereign defaults frequently emerge from political instability. Coups are one example. Coups occur when elites in the regime remove the leader through violence or the threat of violence (Powell and Thyne 2011). Coups in autocracies can double or even triple the risk of sovereign default (Balima 2020; Shea and Poast 2020). Political instability is priced into borrowing costs for developing countries. Domestic unrest, especially violent unrest, leads to downgraded bond ratings (Biglaiser, Lee, and McGauvran 2024). Analyses of bond spreads suggest that political instability costs autocracies more than democracies. When bond spreads are higher, the state pays higher interest rates to borrow, reducing the amount of available debt. Political instability increases bond spreads for autocracies more than democracies (Eichler 2014; Eichler and Plaga 2017). Autocracies seeking to borrow money must assuage investors' fears of political instability.

Succession rules—formal rules, typically in the constitution, that specify a process for replacing the leader after a vacancy—help autocracies resolve political instability and borrow more money. Succession rules influence borrowing through two mechanisms. First, succession rules directly resolve instability. By providing a publicly known set of rules for handling vacancies, succession rules reduce the risk of coups and other forms of violence after an unexpected vacancy. Second, succession rules signal stability. Succession rules emerge when dictators are already secure. The presence of succession rules signals that the dictator believes that they can prevent coups. Together, succession rules reduce fears of political instability and increase market access for autocracies.

I test the argument by examining whether autocracies with succession rules issue more sovereign bonds than autocracies without them in sub-Saharan Africa from 1990 to 2016. Data limitations make clear identification challenging. Succession rules change slowly, and the African bond market is relatively new (Zeitz 2022). Instead, I rely on three pieces of evidence. First, I use descriptive tables to show that succession rules clearly separate borrowers and non-borrowers, to a level only exceeded by legislatures. Second, I use panel models to show that the correlation between succession rules is robust to several model specifications, including controlling for economic conditions and coup probability. Third, I conduct two qualitative analyses. I leverage the unique construction of Cameroon’s succession rule to show that sovereign bonds only increased after the rule became ineffective, not when it was formally introduced without identifying a successor. I finish by describing investor and news reports that directly name succession as a concern and succession rules as a means of reassuring investors.

This paper contributes to the international political economy of sovereign debt in autocracies and the comparative politics of autocratic succession as well as autocratic institutions more generally. Research on sovereign debt in autocracies primarily compares autocracies to democracies and focuses on the disadvantages that autocracies have on the bond market (Archer, Biglaiser, and DeRouen 2007; Biglaiser and Staats 2012; Beaulieu, Cox, and Saiegh 2012; Cox 2016; Cox and Saiegh 2018; Saiegh 2005; Schultz and Weingast 2003). Recent work has shown that autocracies are heterogeneous in their borrowing prospects and incentives for default. For example, autocracies can borrow more after introducing fiscal rules (Aaskoven 2023), and their propensity to default depends on political incentives like relying on food imports (Ballard-Rosa 2016; 2020). Succession rules contribute to autocratic borrowing by resolving political instability. This paper, therefore, adds to the evidence that the “democratic advantage” is more limited than previously appreciated and can be compensated for (Ballard-Rosa, Mosley, and Wellhausen 2021; Biglaiser, Hicks, and Huggins 2008; DiGiuseppe and Shea 2015; Hansen 2023).

The theory also expands the role of autocratic succession in political and economic outcomes. Existing work on autocratic succession rules focuses almost exclusively on whether having succession rules reduces the risk of coups and under what conditions succession rules

emerge (Frantz and Stein 2017; Kokkonen, Møller, and Sundell 2022; Kokkonen and Sundell 2014; Konrad and Mui 2017; Meng 2021; Sharman 2026; Zhou 2023). But succession is a general concern to anyone with an interest in the country. Succession determines pathways to political power and how the regime sustains itself. Succession rules matter to international and private actors and influence how autocracies access foreign financial markets.¹ The same story should generalize to other autocratic institutions. If so, autocratic institutions matter to foreign markets for more than just constraints. Institutions provide the necessary stability for investors to bet on dictators who, often, already have compatible incentives.

Sovereign Debt in Autocracies

Repayment is the core dilemma of sovereign borrowing. Because the state is sovereign, the state cannot be forced to repay its debts. If the state refuses or is unable to repay, investors cannot punish the state and recover their investments.² Investors, consequently, carefully consider which states to lend money to, whose bonds to buy, and what terms to apply. States less likely to repay their debts must pay higher interest rates and repay debts more quickly, limiting the state's borrowing potential (Arellano and Ramanarayanan 2012). In extreme cases, states can lose access to foreign financial markets entirely (Cruces and Trebesch 2013; Tomz 2007). States need to convince investors that they are trustworthy partners to borrow money and to do it on better terms.

Research on sovereign debt in autocracies has focused on the differences in borrowing between autocracies and democracies. According to the democratic advantage literature, democracies should borrow money on better terms than their autocratic counterparts, such as by having longer maturities and lower interest rates. The democratic advantage has two sources. The

1. More broadly then, this paper shows that autocratic constitutions matter to international actors in foreign financial markets. The content of modern autocratic institutions matters to domestic actors by coordinating and structuring elite behavior (Albertus and Menaldo 2012a; Myerson 2008; Przeworski 2013). In the context of debt, autocratic constitutions are mainly analyzed for their role in creating limited government among European monarchies and city-states (North and Weingast 1989; Stasavage 2007). Almost all modern autocracies that formalize succession rules do so in the constitution. If investors care about autocratic succession rules, they care about the content of modern autocratic constitutions.

2. Military intervention, trade sanctions, and collective retaliation by bankers have been proposed as forms of punishment. The prevalence and effectiveness of these punishments are contested (Mitchener and Weidenmier 2010; Tomz 2007, chaps. 6–8; Tomz and Wright 2013).

first is legislative constraints. If the executive controls repayment, the executive can unilaterally reschedule or stop payments altogether. Constraining the executive and placing fiscal policy in the hands of the legislature increases the number of actors with a say in repayment. The increased veto points reduce the risk of a state choosing to default (Cox 2016; Cox and Saiegh 2018; North and Weingast 1989; Saiegh 2013; Schultz and Weingast 2003). Institutions are especially effective when control of fiscal policy is given to actors with strong preferences for repayment (Stasavage 2002; 2016).

The second is a punishment mechanism. Democratic leaders must win elections to gain and retain power. Voters can punish leaders by voting against them. Naturally, foreign investors cannot directly punish defaulting governments through domestic elections, but the costs of default invite punishment from domestic voters. Sovereign default devastates the economy. Default reduces economic output, depresses the value of domestic firms, and increases the likelihood of inflationary and currency crises (Hébert and Schreger 2017; Reinhart and Rogoff 2009). According to one recent estimate, sovereign default reduces growth in GDP per capita by 8.5% over three years and 20% over 10 years (Farah-Yacoub, Graf von Luckner, and Reinhart 2024). The economic costs can lead to voter backlash, making elections a punishment mechanism even if foreign investors cannot participate directly (Schultz and Weingast 2003). Democratic leaders are more likely to repay debts to avoid voter backlash.

Constraints and elections, together, could give democracies an advantage in borrowing. Neither mechanism, however, is truly absent in autocracies. Nearly all modern autocracies have legislatures and hold elections. Autocratic legislatures can create constraints over economic decisions, preventing dictators, for example, from expropriating foreign investment (Wilson and Wright 2017; Wright 2008). Even elections are not absent in autocracies. Modern autocracies hold elections, and the majority of autocratic elections allow multiple parties to compete. Although the bulk of autocratic elections are rigged and fraudulent, autocracies frequently allow competition that could change control of the legislature and even topple the dictator (Magaioni 2010). Neither mechanism is truly unique to democracies, but they are more prevalent in democracies.

Overall, evidence on the democratic advantage is mixed, especially in the developing con-

text, and the advantage may be conditional on other factors.³ Archer, Biglaiser, and DeRouen (2007) do not find an advantage in sovereign credit ratings for democracies in developing countries, but Beaulieu, Cox, and Saiegh (2012) argue that the advantage emerges when accounting for selection into capital markets and the endogeneity of economic performance to regime type. Ballard-Rosa, Mosley, and Wellhausen (2021) show that the democratic advantage is also conditional on the international context. When global liquidity is high, investors are more tolerant of the risk of lending to autocracies. Investors become more risk-averse when global financial liquidity is low and prefer democracies, driving the advantage. While the democratic advantage may exist, it has limitations.

One possibility is that autocracies are more credible partners than previously assumed. Both democrats and dictators need money to survive—by providing public goods to voters for democrats and by providing private goods to elites for dictators (Bueno de Mesquita et al. 2003). Debt helps both types of leaders increase goods provisions, and it can be especially valuable for dictators, who often have more limited tax revenues. Among developing countries, autocracies borrow more money and rely more heavily on foreign debt (Oatley 2010). Borrowing terms matter more for autocratic survival than democratic survival. When credit ratings are downgraded, both autocratic and democratic leaders are more likely to lose power, but credit downgrades have a significantly larger effect on dictators' survival (DiGiuseppe and Shea 2015). Autocracies can be credible partners given their reliance on debt to survive. Indeed, autocracies are *more* likely to repay debts than democracies among developing countries (Saiegh 2005).

Credibility is important for explaining sovereign debt, yet substantial heterogeneity in autocratic borrowing ability remains. Political instability is another threat to credibility that has received more limited attention. Violent protests reduce credit ratings in any political regime (Biglaiser, Lee, and McGauvran 2024). More general forms of instability, such as leadership turnover, only increase bond spreads in autocracies (Eichler 2014; Eichler and Plaga 2017). Leader turnover and non-violent protests are expected features of democratic systems

3. I focus on issues with the democratic advantage from the autocratic perspective. From the democratic side, default can be a politically viable choice in democracies because the value of default varies across voters (Dixit and Londregan 2000; Frieden 1991).

but usually represent underlying problems in autocracies. Coups are especially dangerous for sovereign borrowing. Dictators who come to power through coups face heightened risks of losing power and need to consolidate support quickly and stymie the opposition. Default has multiple utilities for the new dictator. Default provides a short-term increase in funds to reward supporters, harms elites from the previous regime, and undermines the previous regime's legitimacy. As a result, default is especially attractive to dictators who claim power through coups (Shea and Poast 2020). Coups double or even triple the probability of sovereign default in autocracies (Balima 2020; Shea and Poast 2020). If an autocracy can reduce the risk of coups and signal this information to investors, investors may be less concerned about the risk of political instability for sovereign default.

Succession Rules, Instability, & Sovereign Debt

By addressing political instability, succession rules can help autocracies borrow money from foreign lenders. Succession rules affect autocracies' borrowing abilities through two channels. First, succession rules have a stabilization effect by directly resolving political instability. They reduce the threat that a dictator's death spurs coups, which can ultimately lead to sovereign defaults. Second, succession rules provide information to investors. Autocracies have succession rules when coups are already unlikely. The presence of succession rules signals, intentionally or otherwise, that the dictator does not fear coups.

Succession rules address a major source of political instability in autocracies: the dictator's death. Through elections, democracies have inherent systems for replacing leaders, but autocracies can lack formal rules for transferring power altogether. The situation is especially perilous when the dictator's death is the regime's first transition of power. Autocracies can sustain themselves by using informal rules to substitute for or complement formal rules. Perhaps the most famous example is Mexico's *dedazo* system, which facilitated 11 peaceful transitions of power from 1934 to 2000. Informal rules, however, need time and practice to develop, so autocracies without experience with leader transitions are unlikely to have informal rules and face greater risks of succession crises.

Without rules, uncertainty over succession is high. Elites are less able to anticipate how the next dictator will be chosen and, therefore, who the next dictator will be. Autocratic succession has high stakes. Dictators shape the fates of elites in their regimes. The dictator's core allies receive the most private goods and influence over policy decisions. Elites who fall out of favor, especially if they were aligned with the previous dictator or rivals for power, risk punishments ranging from simply losing privileges in the regime to imprisonment, torture, and death. The stakes of succession can drive elites to drastic measures. If elites are unsure who the next dictator will be, they are more likely to be uncertain about their status in the future. Rather than wait for a new dictator to emerge, a faction of elites may stage a coup and ensure that an ally takes control. The fate of autocracies after the dictator's death illustrates the dangers that a dictator's death can create. After a dictator dies in office, 13% of autocratic regimes collapse within one year, and 24% collapse within five years (Kendall-Taylor and Frantz 2016).

Even the anticipation of death can foster coups. Politics cannot overcome the aging process. Older dictators, put simply, are closer to death. Dictators of any age, but especially elderly ones, are more likely to suffer health crises that threaten an early demise. Autocratic elites are under no obligation to wait for a dictator's natural death to transfer power. If they anticipate a dangerous and contentious succession process, elites can stage a coup and preempt a succession crisis with a candidate whom they support. Leaders become more vulnerable to removal as they age and suffer from chronic illnesses, especially in autocracies (Bueno de Mesquita and Smith 2017; 2018).

The core purpose of succession rules is to prevent succession crises. Succession rules specify how to replace leaders if sudden vacancies occur, usually by naming the next leader, naming an interim leader and a process for choosing a permanent successor, or specifying processes for selecting both interim and long-term leaders. Succession rules are found in the constitution or other organizing documents, such as edicts or fundamental laws. Constitutions are rules that coordinate behavior (Hardin 1989). Although constitutions are usually considered in the context of democracies, they serve important roles in autocracies. Autocratic constitutions are operating manuals that inform elites how to rule and govern (Barros 2002; Przeworski 2013). Constitutional rules exist to coordinate the behavior of elites.

By coordinating elite behavior, succession rules reduce uncertainty over the outcome of the succession process. Succession rules change the probability distribution of who will become the next dictator. If the rule names a successor, the successor starts with the strongest advantage and becomes the most likely next successor if a vacancy occurs. Most succession rules name a successor, but only on an interim basis. A new dictator is chosen for a full term while the successor rules on an interim basis.⁴ The next dictator is not known with certainty, but elites can form expectations about whom the actors responsible for choosing the next dictator prefer. Elites are less likely to commit coups out of fear of who will emerge as the next dictator because they have informed expectations about a succession contest's results.⁵

Succession rules address one facet of political instability that causes sovereign default. Leader deaths lead to succession crises. Succession crises lead to coups. Coups lead to sovereign defaults (Balima 2020; Shea and Poast 2020). Succession rules reduce the threat of this pathway by facilitating leader transitions after vacancies. Succession crises, however, are only one cause of coups. Coups can emerge from other disputes among elites in the regime or stem from mass-level events such as protests and economic downturns. To access foreign financial markets, autocracies must address the broader threat of coups.

Succession rules also signal that coups are unlikely. Succession rules are systematically tied to the regime's stability. Autocracies are more likely to have succession rules when coups are already unlikely. Succession rules benefit autocracies by preventing succession crises after a leadership vacancy occurs, as described above. The cost of succession rules is that they can inspire coups during the dictator's reign even if they prevent coups after the dictator dies. Given the threats from succession rules, dictators are most likely to have succession rules when they are confident that they can prevent coups.

If the succession rule names a successor, the most obvious threat is the successor. The successor can wait for the dictator's death to take power, but the successor maximizes their time in power by staging a coup against the dictator. A preemptive coup also reduces the

4. Even if the succession rule allows the successor to take over for the full remaining term, the successor does not take over deterministically. Elites could ignore the rule and deny the successor their right to take over.

5. The idea that certainty over succession pacifies elites is one possibility. Certainty could also anger elites if they dislike the expected outcome. The argument regarding succession rules' signaling effects addresses the potential negative consequences of certainty.

risk that the successor dies or is removed before the dictator leaves power. Regardless of the successor's initial strength, being the successor increases their influence and power in the regime. Successors are inherently prominent members of the regime and often hold important positions such as vice president or prime minister. From their position, they gain resources and allies that could support a coup. Having a successor introduces what Herz (1952) dubbed the crown-prince problem. A successor has both the means and motivation to overthrow the dictator.

Succession rules can also create threats outside the successor. As discussed above, succession rules affect the probability distribution of who will take power. The increased certainty can quell elites who are satisfied with the likely outcome and want more assurance of the regime's future. Certainty is not always a positive. The likely outcomes of the succession outcome can anger elites. A subset of elites may dislike the appointed successor or believe that the process for choosing the next dictator disadvantages their favored candidate. Elites who are unhappy with the succession rule can stage a coup to avoid risking the succession rule's outcome. The enhanced certainty of succession rules comes with both benefits and costs. The succession rule can mollify elites who are happy with the outcome but motivate other elites to commit coups.

Dictators may want to have succession from their own interest in preserving the regime, bolstering a preferred successor, or satisfying elites nervous about the regime's future. But when deciding whether to have succession rules, dictators must balance the benefits of succession rules against the threats that they introduce. Dictators who fear coups, consequently, avoid succession rules because succession rules make the threat worse. Conversely, dictators who have secured their rule and minimized the risk of coups can afford to risk potential threats, feeling confident that they can stop any coup attempts. When coups have a lower probability of occurring, autocracies are more likely to have succession rules (Sharman 2026). The relationship between coup probability and succession rules provides a potential signaling effect for succession rules. The presence of succession rules signals that the dictator does not fear coups. Investors can observe the presence of succession rules and conclude that political instability is a lower risk compared to autocracies lacking succession rules.

Succession rules, then, increase autocratic access to sovereign bonds through stabilization

and signaling mechanisms. Instability threatens investors' prospects for repayment both during and after a dictator's lifetime. Succession rules directly address instability after a dictator's death by reducing the risk that sudden vacancies lead to coups. While succession rules do *not* directly reduce instability during a dictator's lifetime, they have an indirect effect by signaling that the dictator is confident in their ability to prevent coups. Together, both mechanisms suggest that investors will be more likely to purchase sovereign bonds from autocracies that have succession rules.

Data

I test the argument by examining the relationship between succession rules in autocracies and the issuance of sovereign bonds. Issuing sovereign bonds serves as a direct indicator of a state's access to foreign financial markets. A state's desire or willingness to borrow money is insufficient; the state must find buyers for its bonds. If a state issues a sovereign bond, it indicates that the state has found willing buyers and can access capital markets (Ballard-Rosa, Mosley, and Wellhausen 2021). Succession rules help autocracies borrow money by reducing political instability after succession crises and signaling to investors that coups are unlikely. As a result, autocracies with succession rules are more capable of accessing foreign financial markets. I expect that autocracies with succession rules are more likely to issue sovereign bonds than autocracies without succession rules.

I use data from sub-Saharan Africa for the analysis. Sub-Saharan Africa is a useful context for both autocratic succession rules and sovereign bonds. Sovereign debt is most inaccessible to developing countries. Investors trust developed countries to repay their debts more (Mosley 2003; Reinhart and Rogoff 2009). Sub-Saharan Africa remains a developing region, and consequently, its bond market lags behind the rest of the world. Before 2006, only South Africa regularly issued sovereign bonds. Most African states have never issued sovereign bonds (Zeitiz 2022). Given the rarity of sovereign bonds in sub-Saharan Africa, it is a challenging environment in which to find relationships with sovereign bonds.

Sub-Saharan African governments could benefit substantially from sovereign bonds. Ex-

ternal finance is essential for sub-Saharan African states, but historically, African governments have relied on multilateral lending and increasingly on Chinese loans in recent years. African sovereign bonds are rare. Among African loans (including countries in Northern Africa) with a maturity of at least one year, only 2.1% are sovereign bonds (154 of 7,493). The remainder are loans from foreign governments and international organizations. Sovereign bonds provide significantly more money but come at the cost of higher interest rates, shorter maturities, and overall lower accessibility. The average multilateral loan provides less than \$100 million, and the average Chinese loan provides less than \$200 million. Sovereign bonds, which are purchased by private investors, average nearly \$1 billion (Mihalyi and Trebesch 2023). Sovereign bonds can provide African governments with significantly more money than other sources of financing, but they are more difficult to access and come with more challenging terms.

The main variables are the presence of succession rules in autocracies, the independent variable, and issuing sovereign bonds, the dependent variable. For autocratic succession rules, I use Sharman's (2026) data, adjusted for democracies, where a "succession rule exists if the constitution, or other governing document if there is no permanent constitution, has a section specifying how to replace the chief executive after a permanent vacancy" (12). Sharman includes any observation coded as autocratic across three different classifications. Since the data need to extend as recently as possible, I rely on Version 4.0 of Boix, Miller, and Rosato (2012), which is updated through 2020. Boix, Miller, and Rosato classify a country as autocratic if it does *not* meet all of the following criteria:

1. The executive is elected directly or indirectly through popular elections and is responsible to either voters or the legislature.
2. The legislature or directly-elected executive is elected in free and fair elections.
3. A majority of adult men have the right to vote.

All democracies are coded as having no succession rule even if the country was originally included in the expansive dataset of autocratic succession rules. The succession rule variable is effectively a categorical variable with three categories: autocracy without succession rule, autocracy with succession rule, and democracy. Autocracy without succession rule is treated

as the reference category.

For sovereign bonds, I use data from Ballard-Rosa, Mosley, and Wellhausen (2021; 2022). The sovereign bond variable is a dummy indicating whether the country has issued at least one new sovereign bond with a maturity of at least six months. Since both the sovereign bond and succession rule are available on a monthly basis, the data are analyzed at a monthly level. The succession rule variable takes a value of 1 for any autocratic observation with an active succession rule for any part of that month. The sovereign bond data cover the period 1990 to 2016 and include 24 countries in sub-Saharan Africa.⁶ For the remaining 24 countries in the region, I include them by coding no sovereign bond issuances for every month.⁷ Across the sample period, succession rules are common. Democracies account for 30.45% of the sample, and autocracies with succession rules are 62.07%. This means that among autocracies, nearly 90% of country-months have succession rules. Sovereign bond issuances are uncommon but not rare. Sovereign bonds are issued in 14.28% of months.

Descriptive Evidence

To begin the descriptive analysis, I first look at how often democracies, autocracies with succession rules, and autocracies without succession rules issue sovereign bonds. Table 1 displays the number and proportion of months with at least one new bond issued by type. Democracies, to establish a baseline, issue bonds the most often, issuing new bonds in 998 of 4,644 months, or 21.49% of months. Although autocracies issue bonds less frequently than democracies, succession rules create near-perfect quasi-separation. Autocracies with succession rules issued bonds in 1,178 of 9,421 months, or 12.5%. Across the 1,187 months of autocracies without succession rules, bonds are issued in only two, or 0.17%. Autocracies with succession rules are over 73 times more likely to issue a bond in a given month than those autocracies without a succession rule. Not having a succession rule effectively bars autocracies from bond markets.

6. Table A1 lists the full sample along with their institutional features and bond history.

7. Assuming that cases excluded from Ballard-Rosa, Mosley, and Wellhausen's (2021; 2022) data never issued sovereign bonds in the sample period does not affect the results. Using only cases in their sample produces the same patterns in the descriptive evidence and regression results. Further, the country fixed effects models effectively remove all these cases as they perfectly explain never issuing bonds.

Table 1. Months with Sovereign Bond Issuance by Succession Rule Type

	Months	Months with Issue (%)	Months without Issue (%)
Democracy	4,644	998 (21.49)	3,646 (78.51)
Autocracy with Succession Rule	9,421	1,178 (12.5)	8,243 (87.5)
Autocracy without Succession Rule	1,187	2 (0.17)	1,185 (99.83)

Notes: Proportions of row in parentheses. Months with sovereign bonds is the total number of months with at least one new sovereign bond issued. *Data sources:* Sovereign bond issuances (Ballard-Rosa, Mosley, and Wellhausen 2021; 2022); succession rules (Sharman 2026); democracy (Boix, Miller, and Rosato 2012).

Both exceptions have explanations for how they issued bonds without succession rules. Nigeria was the first autocracy without a succession rule to issue a sovereign bond. Nigeria is an outlier on multiple dimensions. Despite being a military dictatorship with few formal institutions, it was the second African country in the sample after South Africa to issue a bond, which occurred in January 1992. In that month, Nigeria issued a staggering 234 bonds, by far the largest in the sample. The next closest is South Africa's 127 bonds in January 2002. Together, the bonds summed to \$386,727,840.

Nigeria's 1992 bonds, however, did not reflect an investment bonanza. They were foreign intervention. Nigeria had taken out the debt years and decades earlier. The new bonds were "Brady bonds," which allowed heavily indebted states to restructure their debt with more favorable terms such as value reductions, lower coupon payments, and maturity extensions. Although the program primarily targeted Latin American countries after the debt crisis, Nigeria was among the first countries included due to its oil exports. In fact, Nigeria was previously targeted by the United States for debt restructuring in the predecessor to Brady bonds, the Baker Plan (Bogdanowicz-Bindert 1986; Shenai and Bolhuis 2026). Nigeria could issue sovereign bonds in 1992 despite being a military dictatorship because it had the support of an exceptional American-led debt restructuring plan.

Ethiopia was the second autocracy without a succession rule to issue a sovereign bond with one worth \$1 billion in December 2014. The country had been operating as a parliamentary system since 1995. Although the regime lacked a formal succession rule, it had proven itself resilient to leader transitions. The regime survived when Prime Minister Meles Zenawi, dictator

Table 2. Bond Issuance Rates by Autocratic Institution

	Institution Absent		Institution Present		
	Months	% Issued	Months	% Issued	Ratio
Succession Rule	1,114	0.18	9,421	12.50	69.4
Legislature	1,188	0.08	9,420	12.50	148.6
Ruling Party	1,800	0.72	8,112	13.27	18.4
Multi-Party Election	6,492	9.43	1,966	27.93	2.96
Defense Minister	2,172	2.44	7,236	14.33	5.87

Notes: % Issued is the percentage of country-months with at least one new sovereign bond issued. *Data sources:* Sovereign bond issuances (Ballard-Rosa, Mosley, and Wellhausen 2021; 2022); succession rules (Sharman 2026); legislatures (at least one legislative chamber according to *Legislature bicameral*; Coppedge et al. 2025); ruling parties (Miller 2020); multi-party elections (value of “Yes,” “Almost,” or “Constrained” on *Elections multiparty*; Coppedge et al. 2025); defense ministers (Meng and Paine 2022).

since 1995, died in August 2012, and power passed to Hailemariam Desalegn. The leadership transition may have demonstrated to investors that the parliamentary system substituted for a succession rule, increasing perceptions of stability.

As of 2025, this bond remains Ethiopia’s only. The regime’s stability, proven by the leadership transition, was short-lived. Desalegn resigned in April 2018 due to mass protest. While power passed to Abiy Ahmed, the ruling Ethiopian People’s Revolutionary Democratic Front was replaced by the new Prosperity Party the following year. Internal strife has since defined Ahmed’s tenure, marked by the Tigray War from 2020 to 2022 and the War in Amhara, which has persisted since 2023. As Zeitz (2025) summarizes regarding Ethiopia’s earlier period of increased access to external finance,

Given the instability of conflict that unfolded in Ethiopia after 2018, this time period appears, in retrospect, to have been temporary, ultimately rendered unsustainable by the political exclusion of large groups of society. (198)

Investor skepticism of Ethiopia proved correct. Ethiopia defaulted on the 2014 bond in 2023.

Next, I look at other autocratic institutions. Modern autocracies increasingly structure themselves like democracies, complete with legislatures, parties, and multi-party elections. I compare succession rules to four institutions that have been associated with the main alternative argument for how autocracies borrow money: creating constraints. Legislatures are the main institution associated with constraining executive power, both generally and specifically in autocracies, to attract investors (North and Weingast 1989; Wright 2008). Ruling parties have

also been cited as facilitators of constraints by increasing elite collective action (Gehlbach and Keefer 2012). Multi-party elections have received less attention, but elections are one mechanism that can discourage default according to the democratic advantage argument (Schultz and Weingast 2003). Semi-competitive elections in autocracies could similarly increase credibility. Finally, recent work on African politics has emphasized the role of powerful individuals in the cabinet in constraining autocratic power (Meng 2020; Meng and Paine 2022). While this work is more focused on domestic power-sharing, any form of institutional constraint could affect investor behavior. Therefore, I include the presence of a defense minister who is someone other than the dictator.

Table 2 shows how each institution separates the data. All five institutions create separation where the presence of the institution is associated with higher issuance rates. The rate of issuance is just under three times higher for autocracies with multi-party elections and just under six times larger for those with defense ministers. For ruling parties, which have been more explicitly associated with credible commitment, the ratio jumps to over 18 times larger. Legislatures and succession rules exist in their own category with ratios of 148.6 and 69.4, respectively. They differ by just one observation. Ethiopia in December 2014 is the only observation to issue a bond with a legislature but not a succession rule. Nigeria in January 1992 lacked both. Succession rules are a part of the evolving bundle of nominally democratic institutions common to modern autocracies, so disentangling the effect is challenging. Still, succession rules better predict which autocracies can issue sovereign bonds than ruling parties, multi-party elections, and defense ministers. Only legislatures separate issuers and non-issuers more strongly, yet the difference is a single month.

Panel Evidence

The descriptive evidence shows that succession rules almost perfectly separate which autocracies can issue sovereign bonds, surpassed only by legislatures. To test whether the correlation is significant and is not explained by other features, I use a series of panel models. Across the specifications, succession rules have a positive and significant correlation with is-

suing sovereign bonds. The correlation is robust to controlling for coup probability, the main potential confounder. I also establish a test of the two mechanisms and find stronger support for the stabilization mechanism.

Models

I model the relationship using a series of logit specifications. The basic model takes the form

$$\Pr(\text{Issue}_{it} = 1) = \text{logit}^{-1}(\beta \text{Rule}_{it-12} + \alpha \text{Democracy}_{it-12} + \gamma' \mathbf{X}_{it-12}), \quad (1)$$

where i indexes countries and t months, Issue is a dummy variable indicating that at least one sovereign bond was issued, Rule is a dummy variable for autocracies with succession rules, Democracy is a dummy variable for democracies, and $\mathbf{X}$ is a vector of controls. All independent variables are lagged by twelve months to avoid simultaneity. I use one year instead of one month since the controls are available at a yearly level and do not change monthly other than the transition from December to January.

The other two specifications account for unobserved heterogeneity by adding country fixed effects and year fixed effects. The respective specifications are

$$\Pr(\text{Issue}_{it} = 1) = \text{logit}^{-1}(\beta \text{Rule}_{it-12} + \alpha \text{Democracy}_{it-12} + \gamma' \mathbf{X}_{it-12} + \delta_i), \quad (2)$$

$$\Pr(\text{Issue}_{it} = 1) = \text{logit}^{-1}(\beta \text{Rule}_{it-12} + \alpha \text{Democracy}_{it-12} + \gamma' \mathbf{X}_{it-12} + \eta_t), \quad (3)$$

where δ_i is the country fixed effect and η_t is the year fixed effect.⁸ Across all specifications, the hypothesis is that Rule has a positive average marginal effect (AME).

I intentionally exclude two-way fixed effects models that would include country and year fixed effects simultaneously. The core constraint of the data is that institutions change rarely whereas sovereign bonds are uncommon. In short, variation is limited. Two-way fixed effects

8. The use of logit models with fixed effects may raise concerns due to potential biases from the incidental parameters problem. However, the resulting bias is negligible when T is as small as 16 or even 8 (Greene 2004; Katz 2001). Further, logit models with fixed effects are particularly effective with a large T and non-rare events (Crisman-Cox 2021). Since sovereign bond issuances and succession rules vary at the monthly level, $T = 312$. Sovereign bonds are issued in over 14% of cases, so the outcome is not rare in the statistical sense that generates bias in fixed effects logit. Given the dimensions of the data, logit models with fixed effects are appropriate.

strip away nearly all variation in the data. Subsequently, few variables have a significant correlation, including democracy. I include country and year fixed effects separately to allow for a meaningful estimation.⁹

For controls, I focus on economic fundamentals that affect repayment ability: active external default, debt to GDP ratio, GDP growth, inflation, current account to GDP ratio, and trade to GDP ratio.¹⁰ Any connection between succession rules and these economic fundamentals is unlikely to be direct or causal, but countries that are more economically stable may have a greater capacity to have institutions like succession rules. The controls are chosen to ensure that economic stability does not create a spurious correlation. I exclude political institutions such as the presence of a legislature and economic development such as GDP per capita from the standard control set. Both are undoubtedly important, but like two-way fixed effects, they saturate the model and absorb too much variation. Results in Appendix D, discussed below, explore how different combinations of including legislatures, GDP per capita, and two-way fixed effects affect the association between succession rules and sovereign bonds.

Main Results

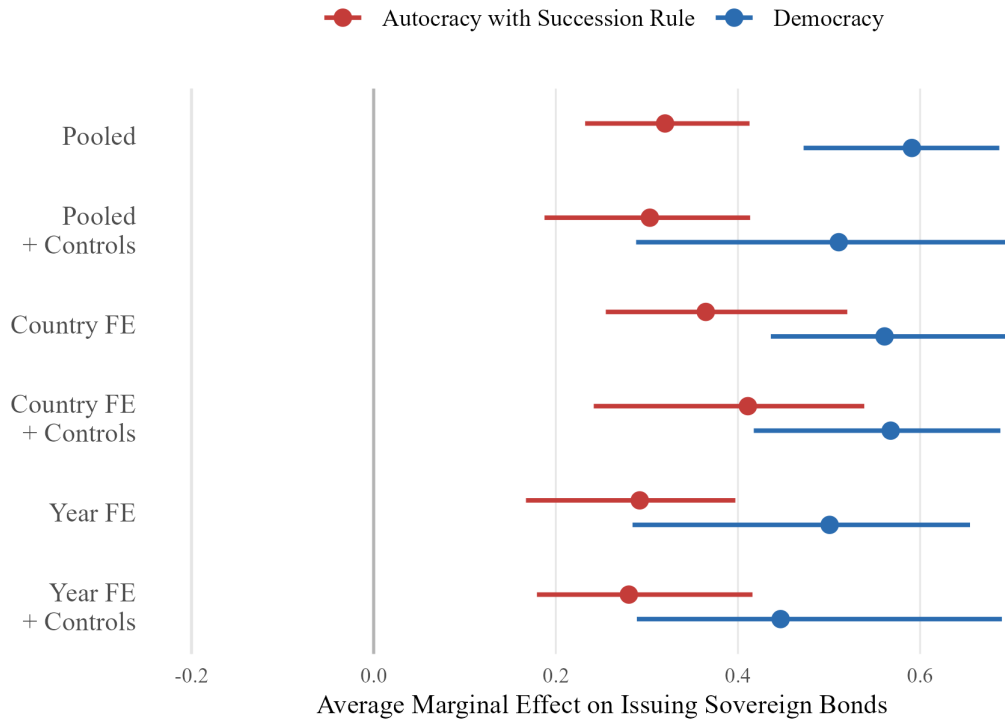
Figure 1 displays the AMEs for succession rules and democracy in each model.¹¹ All six models support the argument. The AME for succession rule is positive and statistically significant in every specification, providing evidence that autocracies with succession rules are more likely to issue sovereign bonds than autocracies without them. In the pooled models, autocracies with succession rules are 32 percentage points more likely to issue bonds without controls and 30.3 percentage points with controls. The AME is slightly attenuated with year fixed effects but remains substantial at 29.2 percentage points without controls and 28 percentage points with. The country fixed effects models produce larger estimates, which is unsurprising given the near-separation problem and change in the estimator. Even so, the increase in the

9. Further, Imai and Kim (2021) show that two-way fixed effects estimators only account for unit-specific and time-specific confounders simultaneously under strict conditions of linearity and additivity. The models here, combining a slow-moving institutional independent variable with a binary dependent variable, almost certainly violate both assumptions. A two-way fixed effects model most likely would not achieve the desired result, in addition to practical limitations.

10. Table A2 provides summary statistics and sources for the control variables.

11. Table A3 provides the full regression results.

Figure 1. Average Marginal Effects on Sovereign Bond Issuance



Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

AME is more modest than the increase in the raw coefficients. In the country fixed effects models, introducing a succession rule is associated with a 35.5 percentage point increase in the probability of issuing sovereign bonds without controls and 41.1 percentage point increase with controls.

Democracy provides a useful comparison point. The AME of democracy is also always positive and statistically significant. In every model, democracy has a larger point estimate than the corresponding AME for succession rules. The AME for democracy ranges from a 44.7 percentage point increase to a 59.1 percentage point increase, and country fixed effects do not affect the estimates for democracy as strongly as they do for succession rules. In fact, the largest estimate for democracy is in the pooled model without controls, with the caveat that the country fixed effects focus the estimation on transitions to democracy. The estimates are correlational, so comparing their point estimates should be done with caution.¹² Still, the association

12. Additionally, the estimates for democracy could be attenuated in the control models if democracy causes any of the macroeconomic fundamentals included. Economic fundamentals would then be post-treatment to democracy. However, the ratio between the succession rule and democracy AMEs is fairly consistent across the specifications.

with succession rules is consistently over half as large as the association with democracy. The inability of some autocracies to formalize succession might explain part of the democratic advantage.

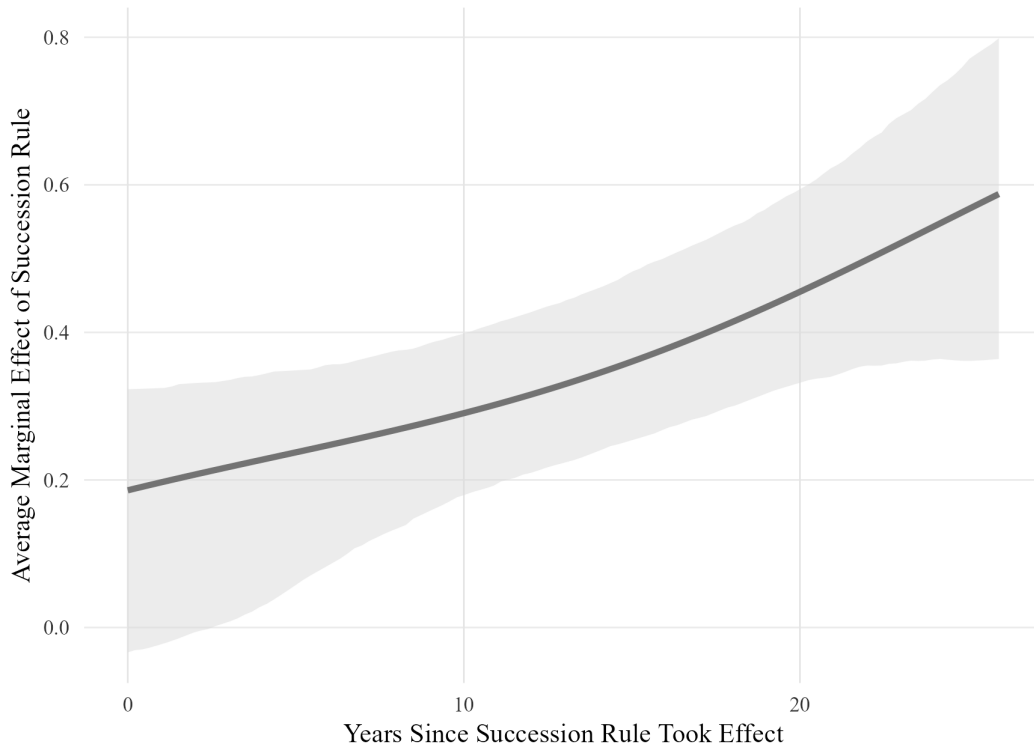
Mechanism Test

The argument proposes two reasons that succession rules may affect autocratic borrowing. First, succession rules can signal that a dictator is consolidated and able to prevent coups. Second, succession rules directly increase stability by reducing the risk of a succession crisis. The main analyses combine both mechanisms by looking at whether succession rules are associated with issuing more sovereign bonds. This set of analyses seeks to distinguish whether one or both mechanisms are operating.

To separate the mechanisms, I look at the timing of the rule's effect. If the signaling mechanism is operating, the effect should be immediate because investors receive new information. The effect would be analogous to political events and news affecting bond, stock, and currency markets (e.g., Benton and Philips 2020; Bernhard and Leblang 2006; Brooks, Cunha, and Mosley 2022; Sattler 2013). If the effect continues well after introduction, it provides evidence for the stabilization mechanism because the association extends beyond the rule's initial signaling content. If only the stabilization mechanism is operating, succession rules should not affect sovereign bonds until the rule has persisted long enough to provide assurance that it will be effective.

Figure 2 displays the AME of succession rules as a function of how long the rule has existed. The AME is estimated using a pooled model without controls beyond democracy. Although the point estimate is immediately positive, it takes at least two years to become significant. This pattern offers limited support for a pure signaling mechanism, though it does not definitively rule it out. The estimated effect remains substantively large even at short durations, likely because relatively few new rules are introduced during the sample period. The results for the stabilization mechanism are stronger. Succession rules are associated with issuing more sovereign bonds the longer that the rule exists. The effect appears to be more than investors learning new information from the rule.

Figure 2. Average Marginal Effect of Succession Rules Based on Rule Duration

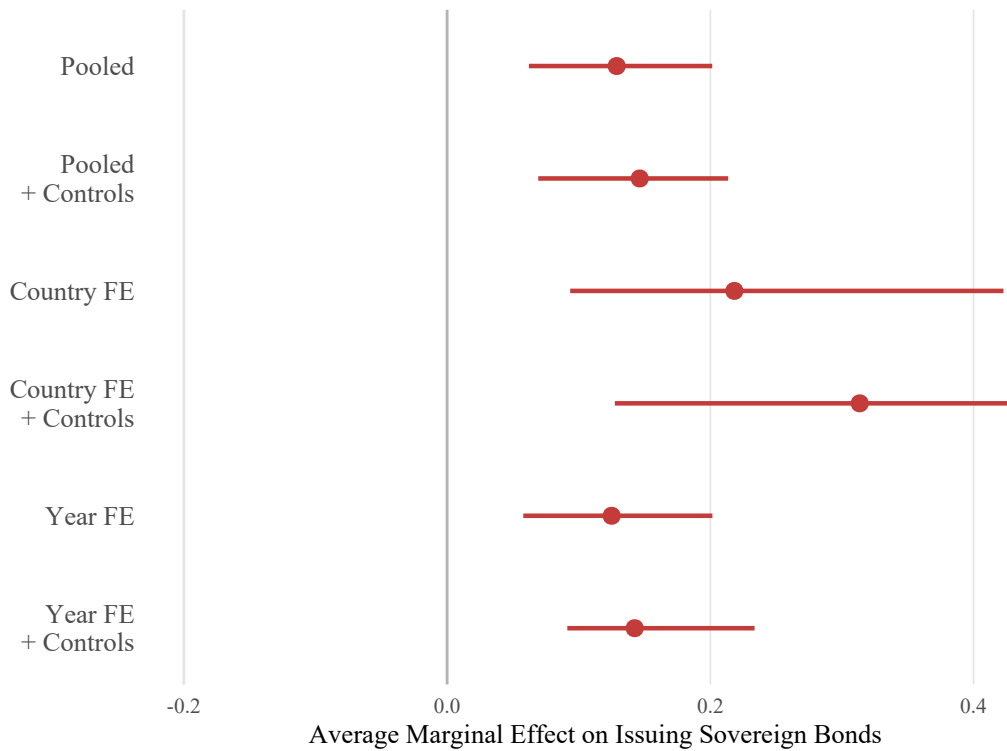


Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. The AME is based on a baseline pooled model without controls.

To further differentiate the mechanisms, I categorize succession rules into new rules and established rules using two-, three-, and five-year cutoffs, with full results in Appendix B. The categories provide the same conclusion as the duration conditional effect. Established rules always have a positive and statistically significant effect regardless of the specification or cutoff. The significance of new rules depends on the cutoff. New rules are never significant with either a two- or three-year cutoff. With a five-year cutoff, new rules are statistically significant in five of six models.

The AMEs of new rules and established rules have similar magnitudes across the cutoffs, but the AMEs for new rules are much less precisely estimated. As before, new rules may have an effect, but limited data make that effect difficult to detect consistently. Taken together, the mechanism test supports the stabilization mechanism. Succession rules are most clearly associated with sovereign bond issuance when they persist. The evidence that new rules have an effect is substantially weaker, although data limitations may simply make that effect noisier.

Figure 3. Average Marginal Effect of Succession Rules Controlling for Coup Probability



Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

Coup Probability

Coup probability is potentially the most obvious confounder. Succession rules might be associated with issuing sovereign bonds because such rules are more likely to exist where coups are already unlikely, and investors are more willing to invest in more stable countries. To address this possibility, I include Sharman's (2026) estimates of coup probability from a Random Forest model as an additional variable in all six main specifications. Because Sharman provides estimates only for autocracies, the sample in these models is only autocracies. Figure 3 displays the results. The AME for succession rules remains positive and significant in all six models. In fact, the estimates barely change. The association between succession rules and issuing sovereign bonds is robust to controlling for coup probability.

Controlling for coup probability also provides evidence regarding the two mechanisms. While including coup risk does not directly test them, the lack of movement in the AME suggests more support for the stabilization mechanism. Unless succession rules were the only mechanism through which investors learned about coup probability, including it directly should

weaken the AME of succession rule. Instead, it barely changes. This suggests that the association between succession rules and sovereign bond issuance is not driven simply by preexisting coup probability. That pattern is consistent with the stabilization mechanism, under which succession rules matter because they reduce uncertainty surrounding future leadership transitions, not present risk.¹³ Controlling for one of the most direct confounders does not change the results and provides more evidence for the stabilization mechanism.

Development, Institutions, & Two-Way Fixed Effects

The main models exclude development, political institutions, and two-way fixed effects due to data limitations. To explore how their inclusion affects the results, Appendix D estimates models with GDP per capita, legislatures, and two-way fixed effects in each combination. For succession rules, the AME remains statistically significant in all specifications with year fixed effects. With country fixed effects but no year fixed effects, succession rules remain significant in the baseline specification and in the model that adds GDP per capita alone, but they lose significance in the specifications that include legislatures. With two-way fixed effects, it is only significant with GDP per capita as the only control. Democracy is only slightly more robust. It remains statistically significant in all specifications with year fixed effects alone and in the country fixed effects models that add legislatures and GDP per capita separately, but not together. Like succession rules, democracy is never statistically significant with two-way fixed effects.

The lack of significance in many of these models points more to data limitations than to reliable evidence against either succession rules or democracy. Two-way fixed effects and country fixed effects in concert with variables like GDP consume too much within-unit variation to draw reliable conclusions. Still, succession rules remain statistically significant when controlling for legislatures, GDP per capita, and other variables depending on the specification. These models cannot definitively rule out confounding by other political institutions or development, but neither do they provide strong evidence that such confounding explains the main result.

13. Additionally, the stability of the succession rule AME may provide evidence against an alternative argument that succession rules reduce the risk of coups. If this argument were true, the AME should decrease because coup risk would be post-treatment to succession rules. This interpretation, however, should be taken with caution since the model is not designed to directly estimate post-treatment effects.

Qualitative Evidence

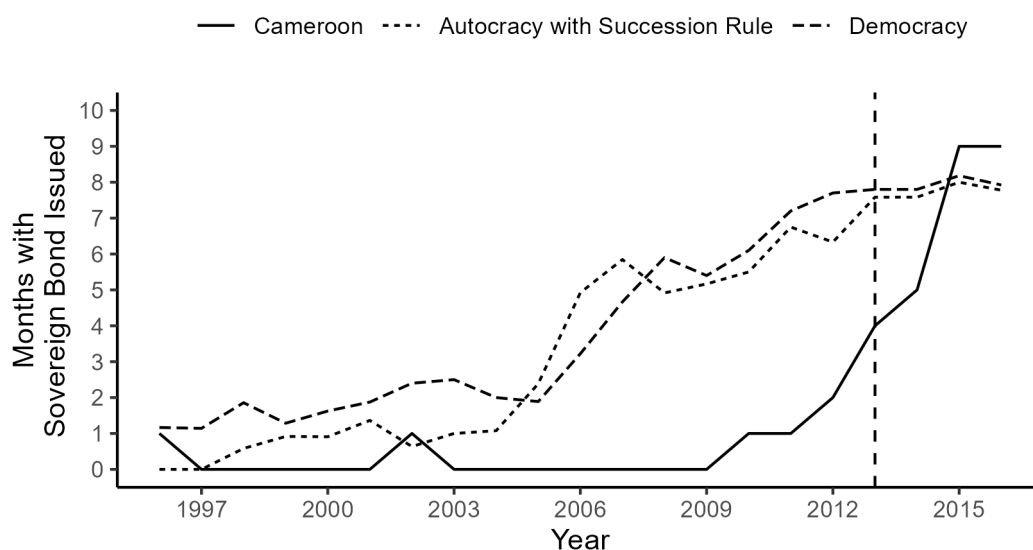
For the final piece of the analysis, I turn to two pieces of qualitative evidence. First, I look at Cameroon. Cameroon's succession rule was constructed to be inactive until the president chose to call Senate elections. I examine how Cameroonian bonds differed depending on whether or not the rule was activated. As my argument would expect, sovereign bonds did not increase until a successor was actually named. Second, I look at investor reports and rating methodologies. In several instances, rating agencies and individual investors specifically name succession as a consideration in their decision-making, with uncertainty regarding succession dissuading investors.

Sovereign Bonds & Succession in Cameroon

From independence in 1960 until 1996, Cameroon had a succession rule in its constitution. In January 1996, Cameroon amended its constitution. The amendments occurred at a contentious time for President Paul Biya's rule. Biya himself came to power through a succession rule. Biya was elevated to the presidency after President Ahmadou Ahidjo unexpectedly resigned due to a health crisis in 1982 while Biya was the prime minister, then the constitutional successor. Ahidjo's regime relied on support from the French-speaking region whereas Biya had more connections to the English-speaking regions (DeLancey 1989). Biya's initial hold on power was limited, but he consolidated his control over the regime when he suppressed a coup plotted by Ahidjo, the former president, in 1984 (Harkness 2016). By 1996, Biya had restructured the regime to weaken Ahidjo's power base while maintaining Francophone dominance, but Biya still faced intense pressure from Anglophone Cameroonians to expand their role in Cameroon's politics.

The 1996 constitutional changes were intended to strengthen the power of Anglophone Cameroonians by reintroducing a federal system. As part of the constitutional amendments, the succession rule changed. Since 1984, Cameroon had a succession rule where the President of the National Assembly, the lower house, became acting president until a new election was held. Under the 1996 amendments, the President of the Senate became the constitutional successor

Figure 4. Number of Months with Sovereign Bonds Issued before and after Cameroon's Succession Rule Became Effective



Notes: The vertical dashed line indicates the year 2013 when Cameroon's succession rule became effective in June. Autocracies without succession rules are excluded because the average is always 0 months except for 2014 when Ethiopia had one month with a sovereign bond issued.

to serve as acting president while waiting for new elections. The Senate was also created by the 1996 amendments. The construction of the Senate came with a provision that effectively allowed the president to manipulate whether the succession rule was active: the Senate would only meet when the president called the Senate together. Until Biya ordered Senate elections, there would be no President of the Senate and no successor through which the succession rule would function, effectively rendering the succession rule non-existent. In February 2013, five years after Biya eliminated term limits and two years after he won his sixth term in power with little active opposition, Biya called for Senate elections. On June 12, 2013, the Cameroonian Senate finally met and elected its first president, Marcel Niat Njifenji, finally bringing the succession rule into effect.¹⁴

The formal existence of Cameroon's succession rule should not have affected Cameroon's ability to access sovereign borrowing until 2013. Before 2013, the main condition necessary for Cameroon to use its succession rule—having a President of the Senate—was not met. There

14. Cameroon's succession rule raises the question of whether other countries have formal succession rules that are ineffective. Appendix E explores this possibility. Cameroon is not the only country with an ineffective rule, although it is unique in deliberately keeping a rule ineffective for an extended period. Ineffective rules are, otherwise, caused by major instability or short-term vacancies. The results are robust to accounting for ineffective periods.

would be no set process for replacing the president despite the constitution having a succession rule. Figure 4 compares the proportion of months with sovereign bonds issued in Cameroon from 1996 to 2016 to the averages for democracies and autocracies with succession rules. Autocracies without succession rules are excluded because the average is always 0% except for 2014 when Ethiopia had one month with a sovereign bond.

Before 2013, Cameroon always issued sovereign bonds more rarely than democracies and autocracies with succession rules. In other words, Cameroon appeared more like an autocracy without succession rules than one with succession rules, consistent with the rule being ineffective. Cameroon never issued sovereign bonds before 2009 except for one month with a bond each in 1996 and 2002. Cameroon issued bonds in one month again in 2010 and 2011, following Biya's eliminating term limits. In 2012, after Biya won his sixth term with little active opposition, Cameroon issued bonds in two months. Cameroon saw its greatest increase after electing the Senate in 2013. Cameroon issued sovereign bonds in four months in 2013 and in five months in 2014. The number of months with sovereign bonds issued jumped to nine in 2015 and 2016, exceeding the average for democracies and other autocracies with succession rules.¹⁵

Data from Datastream on the total number of bonds, which can extend beyond the regression sample that ends in 2016, support the same conclusion. According to Datastream, Cameroon issued only one bond before 2013, which came in 2010. Cameroon issued 13 in 2013, with only two issuances coming before the Senate elections were announced, followed by 22 in 2014, 29 in 2015, and 18 in 2016. Cameroonian bonds slowed considerably, to five bonds in 2017 and then to one each in 2018, 2019, 2020, and 2024, and two in 2021. The slowdown is, however, unsurprising given rising domestic instability due to the Anglophone Crisis, an armed separatist conflict launched in the English-speaking regions, which has killed thousands and displaced tens of thousands more since 2017. Further, investors have expressed increased concern over Biya's age, health, and succession planning, with his constitutional suc-

15. In principle, this analysis could be formalized with synthetic controls or synthetic difference-in-differences. Unfortunately, the data cannot support either analysis. Both estimators require sufficient control units that do not experience the treatment—here, having an effective succession rule—during the entire time period. Several countries switch between having and not having succession rules, but only Ethiopia is a control unit for the entire period. Cameroon does issue significantly more bonds than Ethiopia after 2013, but one control unit is not enough for a reliable analysis.

cessor being over 90 years old and barred from seeking his own term should he become acting president (Miri 2025). The assurance created by the 2013 election has proven temporary due to uncertainty originating from both succession concerns and civil conflict.

Because my analysis mainly focuses on the timing of bonds, it cannot fully distinguish which mechanism drove the change. Still, the Cameroonian case more strongly favors the stabilization mechanism. Bond markets did have early movement when the 2011 election appeared to demonstrate Biya's power consolidation. The stronger movement after the Senate elections could be interpreted as investors confirming their belief in Biya's strength from the succession rule signal. However, the stronger tell is arguably what came after. Cameroon still borrows more with a succession rule than without it, but increased domestic instability has occurred alongside a substantial decline in borrowing. Even if succession rules can reduce uncertainty over a potential vacancy, they cannot fully overcome uncertainty regarding Biya today.

Investor Statements

The most direct evidence would come from investment firms and investors themselves, if they confirm that they care about succession and understand its relationship to stability. The specifics of investor decisions are typically proprietary and closely guarded. It is plausible that investors would care about succession, given its effects on stability and policy. Investment firms typically have extensive research departments that could identify the role of succession rules and incorporate it into their analyses. Based on publicly available information, is there evidence that investors care about succession?

Public information indicates that succession factors into investor decision-making. Standard & Poor's and Fitch, two of the "Big Three" credit rating agencies alongside Moody's, have noted the importance of succession in their public reports. Standard & Poor's is most explicit. The criteria for their sovereign credit ratings state that "succession risks...lead to substantial policy shifts and affect the continuity of key credit characteristics" (S&P Global Ratings 2017). While the role of succession in their credit ratings is less clear, Fitch has acknowledged succession's impact in individual reports. For example, Fitch, in its recent review

of the Republic of the Congo's sovereign credit rating, notes that "the absence of a clear succession plan creates the risk of a potentially disorderly political transition" (Fitch 2025). Other analysts have publicly noted succession concerns in their analysis of African markets. Before José Eduardo dos Santos retired as Angola's president in 2017, one analyst noted that "Dos Santos' succession is the single biggest question hanging over Angola" (Laxmidas 2012). Similarly, Fitch, in 2018, warned of Uganda's sovereign credit rating being constrained by "low GDP per capita, a weak business environment, and political risks related to the lack of a clear succession plan for the long-serving President Museveni" (Fitch 2018).

The above quotes focus primarily on succession planning, not institutions governing succession. There are fewer public comments regarding succession rules; still, there are indications that succession institutions inform investor behavior. The introduction of a vice-president in the Ivory Coast was, for example, seen as a maneuver to reassure investors that a succession plan was in place in case the elderly Alassane Ouattara died in office. According to one report, the appointment of Daniel Kablan Duncan to the new vice-presidency "is likely to reassure the foreign investors who have poured into the country since a civil war in 2011" (Bavier 2017).

These dynamics have been especially relevant in Cameroon, where Paul Biya has refused to cede power or groom a successor into his 80s and even 90s (Akua 2025; Felix 2011). The decision to hold Senate elections and create a constitutional successor, as described in the previous subsection, was seen as a maneuver to reassure investors. As one report stated, "The creation of the senate is intended in part to clarify succession in the African oil producer nation, whose long-serving President Biya is now 80 years old" (Reuters 2013).¹⁶ Notably, the succession rule assuaged investor fears even though the rule was designed partially to avoid clarity and allow Biya to continue obfuscating his long-term plans. The successor only exists when Biya calls the Senate to meet; the successor is not eligible to seek a full term in office; and the current occupant is merely one year younger than Biya. Nonetheless, the implementation of a succession rule has reassured investors that the current regime is more likely to outlive Biya. Cameroon has continued borrowing, albeit at reduced levels, partially associated with Biya's age, health, and obfuscation.

16. As of this writing, Biya is 93 and scheduled to remain president until he is at least 100 years old.

The investor statements provide the most direct evidence that succession matters to investors. Particularly in the cases of the Ivory Coast and Cameroon, investors and business news outlets saw succession rules as reassurance. They also provide the most direct evidence in favor of the stabilization mechanism. In each statement, investors care about succession as it relates to uncertainty regarding the regime's future, not any specific information that rules can provide. The statements further support the nuance of the fuller Cameroon case. Succession rules are one element of the larger succession process. If the regime is less stable or aging dictators obscure their succession plans, such as in Cameroon and Uganda, succession rules will only partially address uncertainty. Still, investors tell us directly that succession matters for their decision-making and that succession rules can alleviate their concerns.

Conclusion

Sovereign borrowing is essential to modern governance, but many states struggle to convince investors that they will repay their debts. Autocracies, particularly, face limitations in borrowing. Relative to democracies, autocracies place fewer constraints on executive power and lack an accountability mechanism like elections to punish leaders who default. Yet many autocracies do have incentives to repay their debts. If they default and, therefore, lose access to foreign financial markets, the dictator is at a greater risk of losing power. Even autocracies with political incentives to repay debts still struggle to borrow due to political instability. Political instability increases the threat of default, especially if coups occur. Autocracies seeking to borrow money need to address political instability to make their commitments to repay more credible.

In this paper, I argue that succession rules can help autocracies issue sovereign bonds by resolving investor fears regarding political instability. Succession rules directly reduce political instability by reducing the threat that leader vacancies lead to succession crises and, subsequently, coups. Because dictators have succession rules when they believe that coups are unlikely, they also signal to investors that the dictator is confident in their ability to stop coups. Using three pieces of evidence—covering descriptive statistics, panel regression models, and

qualitative analyses of Cameroon and investor statements—in sub-Saharan Africa, I find that autocracies with succession rules are significantly more likely to issue sovereign bonds than autocracies without succession rules. Throughout, I find evidence that the association is driven by a stabilization mechanism where succession rules reassure investors that the regime will survive a leader’s death.

The argument and results presented in this paper provide several avenues for future research. Future research could explore the micro-foundations of investor behavior. The signaling mechanism relies on investors knowing that dictators have succession rules when coups are unlikely. Investors may simply be unaware that rules could signal low coup probability, especially since political scientists debate the exact relationship between rules and coups. A lack of investor knowledge might explain why the signaling mechanism has only weak evidence.

Future research could also connect succession rules to foreign direct investment (FDI). Expropriation of FDI is the major form of political risk other than sovereign default that foreign investors face (Tomz and Wright 2010). Investor preferences over FDI parallel sovereign bonds. Investors typically prefer directing FDI to democracies, partially due to greater political stability (Jensen et al. 2012). Leadership turnover is a particular threat as new dictators have the greatest incentives for expropriating FDI whereas long-serving dictators have the fewest (Albertus and Menaldo 2012b; Li 2009). Succession rules could encourage FDI similarly to sovereign bonds by reducing the actual and perceived risk of coups that would lead to expropriation.

Finally, future research could consider how demand for foreign finance leads to the development of succession rules and autocratic institutions more broadly. I focus on how succession rules increase access to foreign capital markets for autocracies and how domestic considerations motivate succession rules. This relationship also provides a strategy for dictators who want to increase their access to sovereign bonds by institutionalizing succession. Dictators seeking sovereign bonds could use succession rules to expand their market access, providing an international and economic motivation for institutionalizing succession. For example, Cameroon’s activation of its succession rule also followed concerns from foreign investors that a succession crisis would destabilize the regime (Reuters 2013). If autocratic institutions affect

foreign financial markets, foreign financial markets should also affect autocratic institutions.

Competing Interests None.

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Supplementary Material

Succession, Stability, and Sovereign Bonds in Sub-Saharan Africa

Table of Contents

A	Additional Tables	1
B	Mechanism Test	4
C	Coup Probability	10
D	Development, Institutions, & Two-Way Fixed Effects	11
E	Ineffective Rules	15
F	References	20

A Additional Tables

Table A1. Sample

Country	% w/ Succession Rule	% Democracy	% Issuing Bond
Angola	100.0	0.0	37.3
Benin	1.0	99.0	14.3
Botswana	0.0	100.0	8.6
Burkina Faso	91.0	3.7	10.8
Burundi	42.2	42.6	0.0
Cabo Verde	3.7	96.3	4.0
Cameroon	100.0	0.0	11.4
Central African Republic	56.2	37.3	0.0
Chad	91.4	0.0	0.0
Comoros	59.3	40.7	0.0
Democratic Republic of the Congo	78.1	0.0	4.9
Djibouti	100.0	0.0	0.0
Equatorial Guinea	100.0	0.0	0.0
Eritrea	83.1	0.0	0.0
Eswatini	100.0	0.0	0.0
Ethiopia	0.0	0.0	0.3
Gabon	100.0	0.0	7.7
Gambia (The)	77.8	14.8	0.0
Ghana	14.8	74.1	38.0
Guinea	100.0	0.0	0.0
Guinea-Bissau	85.2	14.8	0.0
Ivory Coast	97.5	0.0	17.6
Kenya	44.4	55.6	61.7
Lesotho	0.0	55.6	29.6
Liberia	59.3	40.7	0.0
Madagascar	40.4	59.6	0.0
Malawi	14.8	85.2	0.0
Mali	25.2	74.5	0.0
Mauritius	0.0	100.0	68.2
Mozambique	63.0	37.0	39.5
Namibia	100.0	0.0	87.0
Niger	24.7	70.1	0.0
Nigeria	82.4	7.4	40.1
Republic of the Congo	84.3	0.0	0.3
Rwanda	100.0	0.0	28.1
São Tomé and Príncipe	3.7	96.3	0.0
Senegal	37.0	63.0	19.4
Seychelles	96.3	3.7	29.9
Sierra Leone	28.7	55.6	0.0
Somalia	68.5	0.0	0.0
South Africa	14.8	85.2	29.0
South Sudan	100.0	0.0	0.0
Sudan	70.4	0.0	0.0
Tanzania	100.0	0.0	0.0
Togo	100.0	0.0	0.0
Uganda	100.0	0.0	42.0
Zambia	66.7	33.3	43.2
Zimbabwe	100.0	0.0	0.0

Table A2. Summary Statistics for Regression Models

Variable	Source	N	Mean	SD	Min	Q1	Median	Q3	Max
Sovereign Bond Issued	Ballard-Rosa, Mosley, and Wellhausen (2021; 2022)	15,252	0.14	0.35	0.00	0.00	0.00	0.00	1.00
Autocracy with Succession Rule	Sharman (2026)	14,606	0.62	0.49	0.00	0.00	1.00	1.00	1.00
Democracy	Boix, Miller, and Rosato (2012)	14,676	0.30	0.46	0.00	0.00	0.00	1.00	1.00
Active External Default	BoC-BoE Sovereign Default Database	14,676	0.91	0.29	0.00	1.00	1.00	1.00	1.00
Debt/GDP	IMF Historical Public Debt Database	13,668	81.16	68.15	0.47	36.72	64.24	100.53	523.38
GDP Growth	World Development Indicators gap-filled with IMF World Economic Outlook	14,652	4.13	8.70	-51.03	1.73	4.21	6.61	149.97
Inflation	World Development Indicators gap-filled with IMF World Economic Outlook	14,258	48.44	720.65	-72.73	2.58	6.50	12.50	23,773.13
Current Account/GDP	World Development Indicators gap-filled with IMF World Economic Outlook	14,268	-5.40	11.38	-148.00	-8.31	-4.67	-1.01	43.40
Trade/GDP	World Development Indicators	11,376	64.65	35.26	11.09	40.90	54.39	80.62	347.72
Legislature	V-Dem (Coppedge et al. 2025)	14,676	0.92	0.27	0.00	1.00	1.00	1.00	1.00
Coup Probability	Sharman (2026)	10,212	0.03	0.06	0.00	0.00	0.01	0.04	0.66
Logged GDP	World Development Indicators	14,352	22.61	1.50	18.59	21.57	22.65	23.47	26.92

Table A3. Full Regression Results

	(1)	(2)	(3)	(4)	(5)	(6)
Autocracy with Succession Rule	4.46*	4.29*	4.49*	14.21*	4.05*	3.83*
	[3.52, 15.97]	[2.62, 16.34]	[3.34, 17.61]	[4.15, 17.85]	[2.26, 15.45]	[2.50, 16.23]
Democracy	5.00*	4.63*	5.93*	15.67*	4.42*	4.26*
	[3.65, 16.68]	[2.76, 16.64]	[3.98, 18.99]	[7.20, 29.47]	[2.46, 15.89]	[3.00, 16.81]
Active External Default		-1.03		-1.67*		-1.16
		[-2.27, 0.22]		[-2.65, -0.69]		[-2.56, 0.24]
Debt/GDP		-0.03*		-0.06*		-0.02*
		[-0.04, -0.01]		[-0.09, -0.03]		[-0.04, 0.00]
GDP Growth		0.05*		-0.02		0.06*
		[0.01, 0.10]		[-0.09, 0.05]		[0.02, 0.10]
Inflation		0.00		-0.08*		0.00
		[0.00, 0.00]		[-0.13, -0.02]		[0.00, 0.00]
Current Account/GDP		-0.03		-0.06*		-0.02
		[-0.07, 0.01]		[-0.11, 0.00]		[-0.06, 0.02]
Trade/GDP		0.01		0.03*		0.01
		[0.00, 0.03]		[0.01, 0.06]		[0.00, 0.03]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,606	10,952	7,477	6,219	14,606	10,952
Countries	48	42	24	23	48	42
Pseudo- R^2	0.04	0.24	0.27	0.53	0.17	0.28
Log-Likelihood	-5,915.77	-3,986.73	-3,296.13	-1,835.48	-5,121.05	-3,767.18
AIC	11,837.55	7,991.47	6,644.25	3,732.96	10,298.10	7,602.36
BIC	11,860.32	8,057.18	6,824.16	3,941.76	10,510.60	7,850.61

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for Autocracy with Succession Rule and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for remaining controls are 95% country-clustered HC1 confidence intervals.

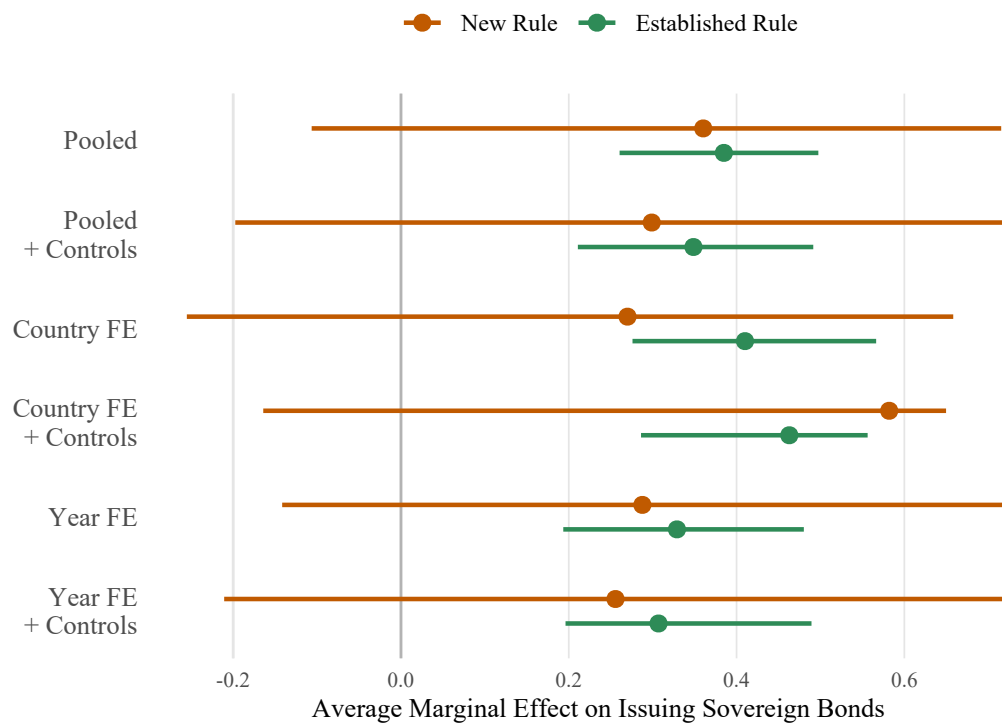
B Mechanism Test

Table B1. Full Regression Results for Duration Mechanism Test

	(1)
Autocracy with Succession Rule	2.56 [-1.25, 14.54]
Rule $\times$ Duration	0.16* [0.02, 0.55]
Rule $\times$ Duration ²	0.00 [-0.01, 0.00]
Democracy	5.00* [3.65, 16.72]
Country FE	No
Year FE	No
N	14,606
Countries	48
Pseudo- R^2	0.13
Log-Likelihood	-5,358.54
AIC	10,727.08
BIC	10,765.03

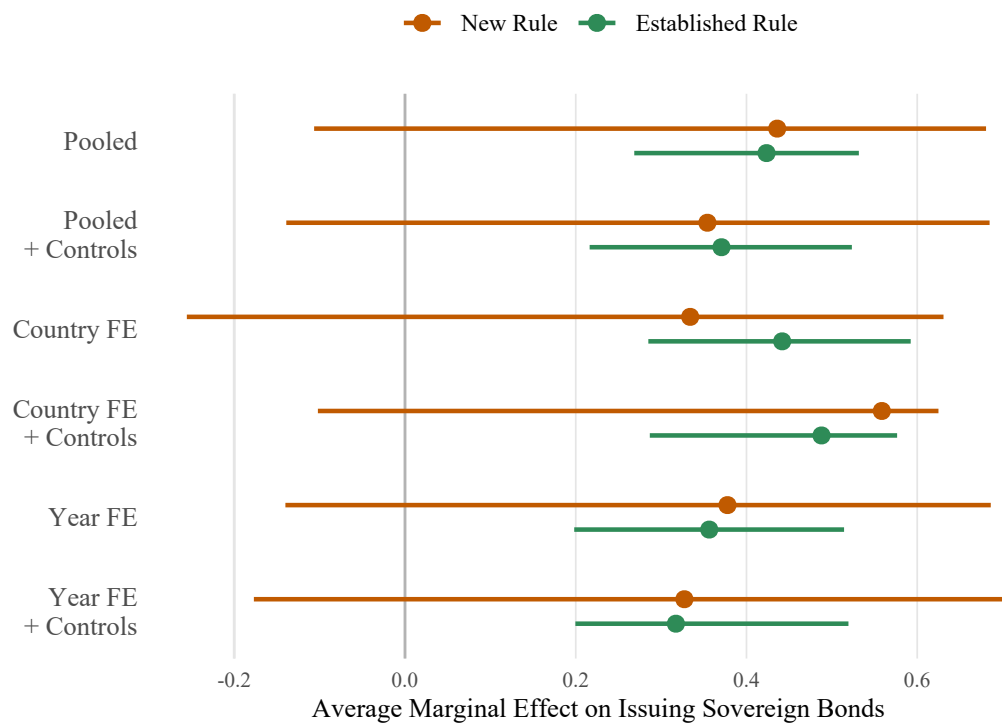
Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

Figure B1. Average Marginal Effects for Mechanism Test with Two-Year Cutoffs



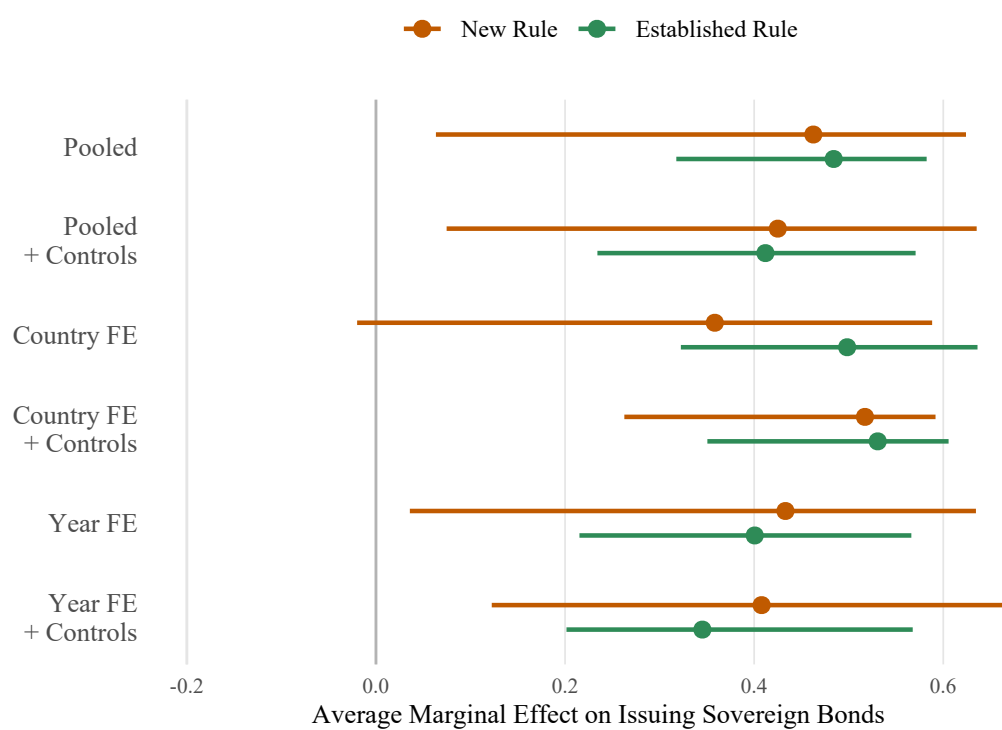
Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

Figure B2. Average Marginal Effects for Mechanism Test with Three-Year Cutoffs



Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

Figure B3. Average Marginal Effects for Mechanism Test with Five-Year Cutoffs



Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

Table B2. Full Regression Results for Mechanism Test with Two-Year Cutoffs

	(1)	(2)	(3)	(4)	(5)	(6)
New Succession Rule (<2 years)	2.01 [-11.96, 13.88]	2.13 [-13.07, 14.12]	1.83 [-12.34, 15.43]	13.40 [-2.28, 17.25]	1.98 [-11.98, 13.77]	1.97 [-12.68, 14.62]
Established Succession Rule (≥ 2 years)	4.67* [3.72, 16.20]	4.43* [2.79, 16.67]	4.78* [3.52, 18.13]	14.54* [4.95, 18.89]	4.18* [2.51, 15.66]	3.93* [2.61, 16.59]
Democracy	5.00* [3.65, 16.70]	4.61* [2.80, 16.89]	5.87* [3.80, 19.09]	15.70* [7.12, 30.48]	4.43* [2.59, 15.96]	4.25* [3.02, 16.97]
Active External Default		-1.03 [-2.28, 0.22]		-1.66* [-2.63, -0.70]		-1.14 [-2.55, 0.26]
Debt/GDP		-0.03* [-0.04, -0.01]		-0.06* [-0.09, -0.03]		-0.02* [-0.04, 0.00]
GDP Growth		0.04* [0.00, 0.08]		-0.02 [-0.08, 0.04]		0.05* [0.01, 0.09]
Inflation		0.00 [0.00, 0.00]		-0.07* [-0.13, -0.02]		0.00 [0.00, 0.00]
Current Account/GDP		-0.04 [-0.08, 0.01]		-0.05 [-0.11, 0.01]		-0.02 [-0.06, 0.02]
Trade/GDP		0.01 [0.00, 0.03]		0.03* [0.00, 0.06]		0.01 [0.00, 0.03]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,606	10,952	7,477	6,219	14,606	10,952
Countries	48	42	24	23	48	42
Pseudo- R^2	0.07	0.25	0.30	0.53	0.18	0.29
Log-Likelihood	-5,738.57	-3,900.01	-3,175.71	-1,826.00	-5,034.55	-3,715.45
AIC	11,485.13	7,820.01	6,405.42	3,716.00	10,127.09	7,500.90
BIC	11,515.49	7,893.02	6,592.25	3,931.53	10,347.18	7,756.44

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for New Succession Rule, Established Succession Rule, and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for economic controls are 95% country-clustered HC1 confidence intervals.

Table B3. Full Regression Results for Mechanism Test with Three-Year Cutoffs

	(1)	(2)	(3)	(4)	(5)	(6)
New Succession Rule (<3 years)	2.53 [-12.37, 14.27]	2.58 [-12.53, 14.52]	2.44 [-12.94, 16.08]	13.64 [-1.45, 17.53]	2.60 [-12.25, 14.32]	2.53 [-12.20, 15.12]
Established Succession Rule (≥ 3 years)	4.73* [3.79, 16.28]	4.45* [2.80, 16.58]	4.95* [3.61, 18.41]	14.61* [4.50, 19.32]	4.22* [2.53, 15.78]	3.93* [2.59, 16.47]
Democracy	5.00* [3.65, 16.70]	4.60* [2.79, 16.86]	5.83* [3.70, 19.09]	15.70* [7.12, 29.80]	4.46* [2.63, 16.05]	4.26* [3.03, 16.83]
Active External Default		-1.04 [-2.30, 0.22]		-1.66* [-2.62, -0.71]		-1.15 [-2.56, 0.26]
Debt/GDP		-0.03* [-0.04, -0.01]		-0.06* [-0.09, -0.03]		-0.02* [-0.04, 0.00]
GDP Growth		0.04* [0.00, 0.08]		-0.02 [-0.08, 0.04]		0.06* [0.01, 0.10]
Inflation		0.00 [0.00, 0.00]		-0.07* [-0.13, -0.02]		0.00 [0.00, 0.00]
Current Account/GDP		-0.04 [-0.08, 0.01]		-0.05 [-0.11, 0.01]		-0.02 [-0.06, 0.02]
Trade/GDP		0.01 [0.00, 0.03]		0.03* [0.00, 0.06]		0.01 [0.00, 0.03]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,606	10,952	7,477	6,219	14,606	10,952
Countries	48	42	24	23	48	42
Pseudo- R^2	0.07	0.25	0.30	0.53	0.18	0.29
Log-Likelihood	-5,711.81	-3,901.83	-3,146.10	-1,826.58	-5,047.58	-3,728.88
AIC	11,431.62	7,823.66	6,346.20	3,717.15	10,153.16	7,527.76
BIC	11,461.98	7,896.67	6,533.03	3,932.68	10,373.24	7,783.30

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for New Succession Rule, Established Succession Rule, and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for economic controls are 95% country-clustered HC1 confidence intervals.

Table B4. Full Regression Results for Mechanism Test with Five-Year Cutoffs

	(1)	(2)	(3)	(4)	(5)	(6)
New Succession Rule (<5 years)	2.99*	3.35*	2.97	13.98*	3.19*	3.36*
	[0.56, 14.77]	[0.75, 15.39]	[-0.16, 16.67]	[3.28, 17.78]	[0.32, 14.83]	[1.20, 15.97]
Established Succession Rule (≥5 years)	4.84*	4.45*	5.26*	14.49*	4.23*	3.90*
	[3.92, 16.35]	[2.78, 16.54]	[3.81, 19.02]	[4.34, 19.15]	[2.55, 15.77]	[2.51, 16.39]
Democracy	5.00*	4.61*	5.78*	15.70*	4.45*	4.26*
	[3.65, 16.68]	[2.79, 16.61]	[3.57, 19.03]	[7.31, 29.47]	[2.66, 16.00]	[2.99, 16.88]
Active External Default		-1.05		-1.66*		-1.16
		[-2.32, 0.22]		[-2.63, -0.69]		[-2.57, 0.25]
Debt/GDP		-0.03*		-0.06*		-0.02*
		[-0.04, -0.01]		[-0.09, -0.03]		[-0.04, 0.00]
GDP Growth		0.04*		-0.03		0.06*
		[0.00, 0.08]		[-0.09, 0.04]		[0.02, 0.10]
Inflation		0.00		-0.07*		0.00
		[0.00, 0.00]		[-0.13, -0.02]		[0.00, 0.00]
Current Account/GDP		-0.03		-0.05		-0.02
		[-0.07, 0.01]		[-0.11, 0.00]		[-0.06, 0.02]
Trade/GDP		0.01		0.03*		0.01
		[0.00, 0.03]		[0.00, 0.06]		[0.00, 0.03]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,606	10,952	7,477	6,219	14,606	10,952
Countries	48	42	24	23	48	42
Pseudo- R^2	0.08	0.25	0.32	0.53	0.18	0.28
Log-Likelihood	-5,674.60	-3,936.39	-3,087.66	-1,832.47	-5,072.11	-3,757.58
AIC	11,357.20	7,892.79	6,229.33	3,728.94	10,202.21	7,585.16
BIC	11,387.56	7,965.80	6,416.16	3,944.47	10,422.30	7,840.70

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for New Succession Rule, Established Succession Rule, and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for economic controls are 95% country-clustered HC1 confidence intervals.

C Coup Probability

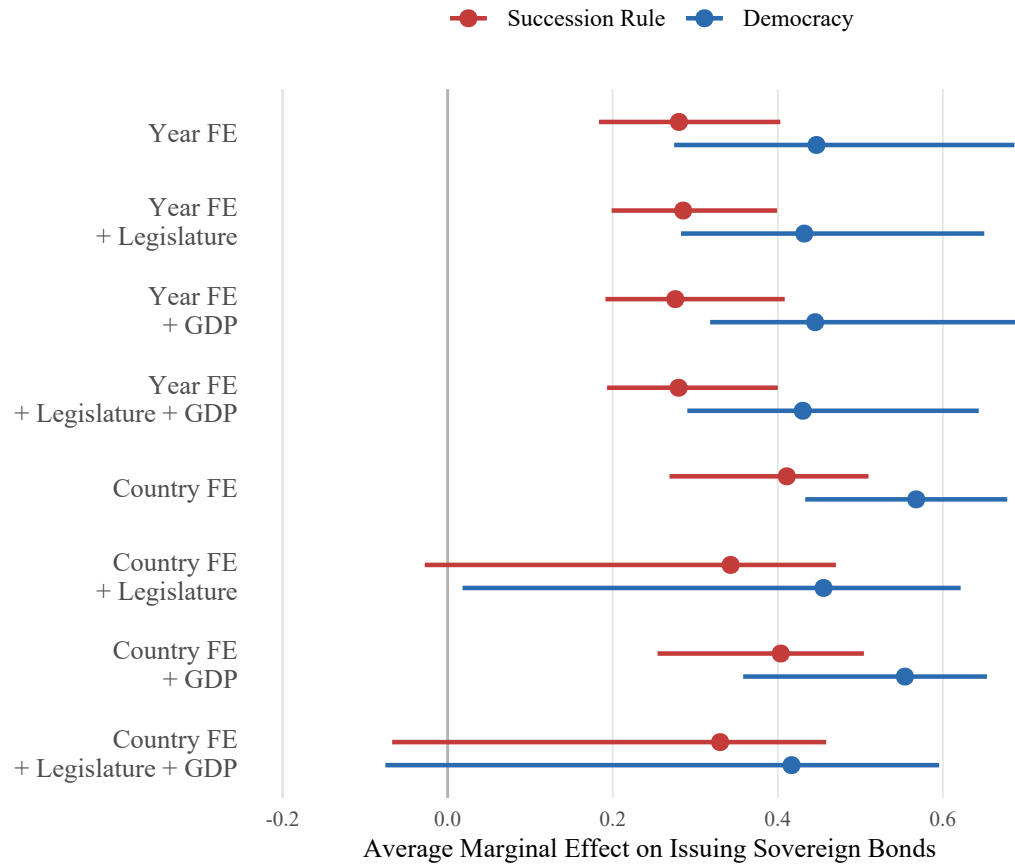
Table C1. Full Regression Results Controlling for Cop Probability

	(1)	(2)	(3)	(4)	(5)	(6)
Autocracy with Succession Rule	4.094*	3.979*	2.732*	13.607*	3.933*	3.66*
	[2.982, 15.719]	[2.481, 16.759]	[0.919, 15.044]	[2.373, 14.913]	[0.91, 15.01]	[2.667, 25.282]
Coup Probability	-44.667*	-32.832	-31.104	-10.408	-48.078*	-40.489*
	[-82.358, -6.977]	[-68.076, 2.412]	[-65.583, 3.375]	[-44.069, 23.253]	[-90.533, -5.623]	[-80.645, -0.332]
Active External Default		-1.018		-0.287		-1.526
		[-3.315, 1.278]		[-3.525, 2.951]		[-4.129, 1.078]
Debt/GDP (IMF)		-0.031*		-0.061*		-0.022*
		[-0.05, -0.012]		[-0.103, -0.019]		[-0.042, -0.003]
GDP Growth		0.039		-0.03		0.04
		[-0.01, 0.088]		[-0.136, 0.076]		[-0.003, 0.083]
Inflation		0		-0.072*		0
		[0, 0]		[-0.13, -0.015]		[0, 0]
Current Account/GDP		-0.04		-0.065		-0.036
		[-0.089, 0.009]		[-0.159, 0.028]		[-0.082, 0.01]
Trade/GDP		0.011		0.055*		0.007
		[-0.011, 0.033]		[0.025, 0.086]		[-0.014, 0.029]
Controls Included	No	Yes	No	Yes	No	Yes
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	10,178	7,508	4,642	3,720	10,178	7,508
Countries	46	39	17	16	46	39

Notes: * * indicates the 95% confidence interval excludes zero. Bracketed entries for Autocracy with Succession Rule intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for remaining controls are 95% country-clustered HC1 confidence intervals. Sample is autocracy only.

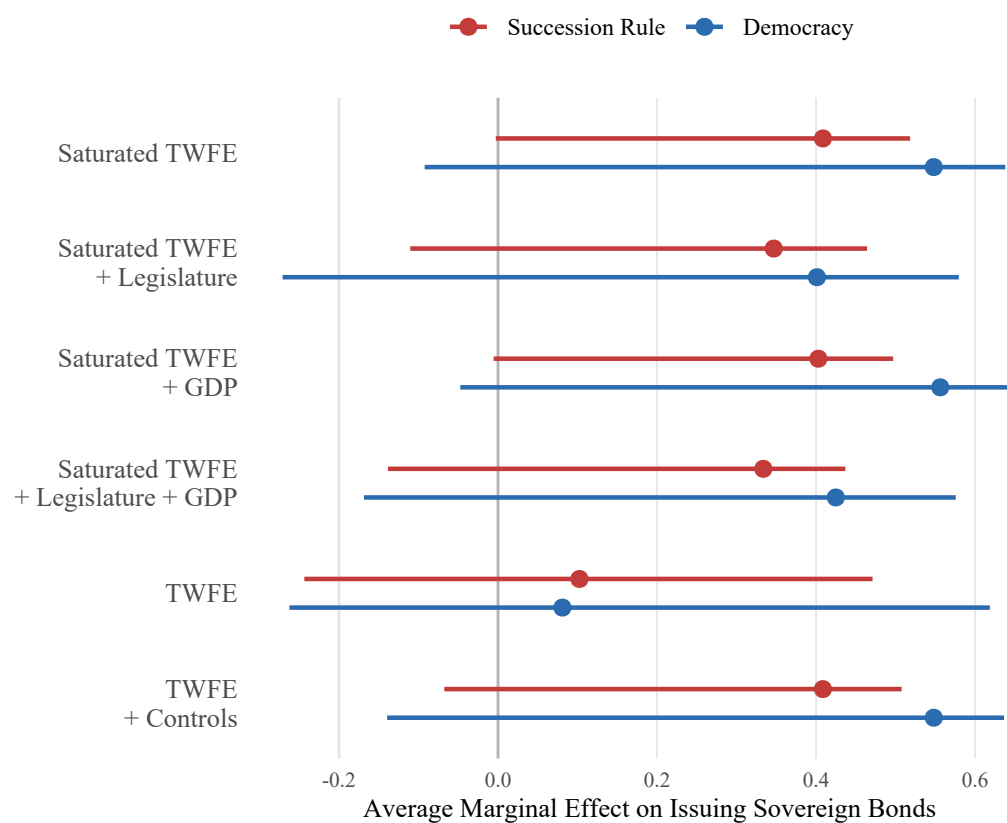
D Development, Institutions, & Two-Way Fixed Effects

Figure D1. Average Marginal Effects Controlling for Legislature and GDP per Capita



Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

Figure D2. Average Marginal Effects with Two-Way Fixed Effects



Notes: Lines represent 95% confidence intervals based on pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement.

Table D1. Full Regression Results Including Legislature and GDP per Capita

	(1)	(2)	(3)	(4)	(5)	(6)
Autocracy with Succession Rule	3.83*	4.00*	3.98*	4.09*	14.21*	4.65
	[2.65, 16.23]	[2.88, 18.43]	[3.02, 15.79]	[3.20, 17.73]	[4.09, 17.78]	[-0.47, 9.46]
Democracy	4.26*	4.43*	4.39*	4.48*	15.67*	6.11*
	[2.94, 16.53]	[3.13, 18.56]	[3.41, 16.08]	[3.37, 18.29]	[8.51, 29.35]	[0.19, 22.16]
Legislature		531.80*		311.98		13.62*
		[147.14, 916.47]		[-137.30, 761.26]		[13.16, 14.07]
Logged GDP per Capita			0.48	0.45		
			[-0.02, 0.99]	[-0.06, 0.95]		
Active External Default	-1.16	-1.19	-0.89	-0.92	-1.67*	-1.67*
	[-2.56, 0.24]	[-2.57, 0.20]	[-2.68, 0.90]	[-2.68, 0.85]	[-2.65, -0.69]	[-2.65, -0.69]
Debt/GDP	-0.02*	-0.02*	-0.02	-0.02	-0.06*	-0.06*
	[-0.04, 0.00]	[-0.04, 0.00]	[-0.04, 0.00]	[-0.04, 0.00]	[-0.09, -0.03]	[-0.09, -0.03]
GDP Growth	0.06*	0.07*	0.06*	0.06*	-0.02	-0.02
	[0.02, 0.10]	[0.03, 0.10]	[0.02, 0.10]	[0.02, 0.10]	[-0.09, 0.05]	[-0.09, 0.05]
Inflation	0.00	0.02*	0.00	0.01	-0.08*	-0.08*
	[0.00, 0.00]	[0.01, 0.04]	[0.00, 0.00]	[-0.01, 0.03]	[-0.13, -0.02]	[-0.13, -0.02]
Current Account/GDP	-0.02	-0.02	-0.02	-0.03	-0.06*	-0.06*
	[-0.06, 0.02]	[-0.06, 0.02]	[-0.06, 0.01]	[-0.06, 0.01]	[-0.11, 0.00]	[-0.11, 0.00]
Trade/GDP	0.01	0.01	0.02	0.02	0.03*	0.03*
	[0.00, 0.03]	[0.00, 0.03]	[0.00, 0.03]	[0.00, 0.03]	[0.01, 0.06]	[0.01, 0.06]
Country FE	No	No	No	No	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	No	No
N	10,952	10,952	10,952	10,952	6,219	6,219
Countries	42	42	42	42	23	23
Pseudo- R^2	0.28	0.29	0.31	0.32	0.53	0.53
Log-Likelihood	-3,767.18	-3,695.02	-3,602.99	-3,559.51	-1,835.48	-1,831.68
AIC	7,602.36	7,460.05	7,275.97	7,191.01	3,732.96	3,727.36
BIC	7,850.61	7,715.59	7,531.52	7,453.86	3,941.76	3,942.89

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for Autocracy with Succession Rule and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for other variables are 95% country-clustered HC1 confidence intervals.

Table D2. Full Regression Results with Legislature, GDP per Capita, and Two-Way Fixed Effects

	(7)	(8)	(9)	(10)	(11)	(12)
Autocracy with Succession Rule	11.92*	5.76	11.72	5.88	11.92*	5.87
	[5.32, 15.30]	[-1.15, 10.37]	[-0.21, 17.44]	[-1.72, 10.16]	[0.28, 14.74]	[-2.45, 10.65]
Democracy	11.85*	5.70	11.45	5.62	12.20	6.22
	[6.44, 24.94]	[-1.38, 17.27]	[-1.79, 19.58]	[-4.57, 16.35]	[-0.98, 20.97]	[-4.25, 13.35]
Legislature		12.87*		11.66*		166.01
		[12.21, 13.53]		[7.19, 16.13]		[-364.86, 696.87]
Logged GDP per Capita	6.89*	6.89*			7.02*	7.51*
	[2.47, 11.32]	[2.46, 11.31]			[1.68, 12.35]	[1.97, 13.05]
Active External Default	-0.52	-0.52	-0.43	-0.43	-0.50	-0.50
	[-1.32, 0.28]	[-1.32, 0.28]	[-1.69, 0.83]	[-1.70, 0.84]	[-1.60, 0.61]	[-1.58, 0.57]
Debt/GDP	-0.03*	-0.03*	-0.03	-0.03	-0.03	-0.03
	[-0.05, -0.01]	[-0.05, -0.01]	[-0.07, 0.01]	[-0.07, 0.00]	[-0.07, 0.01]	[-0.07, 0.01]
GDP Growth	-0.01	-0.01	0.01	0.00	-0.01	-0.01
	[-0.09, 0.08]	[-0.09, 0.08]	[-0.08, 0.09]	[-0.08, 0.09]	[-0.10, 0.09]	[-0.10, 0.09]
Inflation	-0.01	-0.01	-0.01	-0.01	0.00	0.01
	[-0.04, 0.02]	[-0.04, 0.02]	[-0.04, 0.02]	[-0.04, 0.02]	[0.00, 0.00]	[-0.02, 0.03]
Current Account/GDP	0.02	0.02	0.03	0.03	0.03	0.03
	[-0.03, 0.06]	[-0.03, 0.06]	[-0.02, 0.07]	[-0.02, 0.07]	[-0.03, 0.08]	[-0.03, 0.08]
Trade/GDP	0.01	0.01	0.00	0.00	0.01	0.01
	[-0.02, 0.03]	[-0.02, 0.03]	[-0.02, 0.03]	[-0.02, 0.03]	[-0.02, 0.04]	[-0.02, 0.04]
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	No	No	Yes	Yes	Yes	Yes
N	6,219	6,219	6,219	6,219	6,219	6,219
Countries	23	23	23	23	23	23
Pseudo- R^2	0.62	0.62	0.62	0.62	0.63	0.63
Log-Likelihood	-1,480.45	-1,478.84	-1,489.11	-1,488.64	-1,441.67	-1,438.11
AIC	3,024.89	3,023.68	3,090.22	3,091.28	2,997.33	2,992.21
BIC	3,240.42	3,245.95	3,467.40	3,475.19	3,381.25	3,382.86

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for Autocracy with Succession Rule and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for other variables are 95% country-clustered HC1 confidence intervals.

E Ineffective Rules

As discussed in the qualitative section, Cameroon formally had a succession rule while that rule was *de facto* ineffective for nearly 20 years. Sharman (2026) only codes whether formal rules exist, so his data miss such situations. Cameroon does not drive the results. As shown in tables E1 and E2, the results are robust to simply removing Cameroon or coding it as having no succession rule before the 2013 Senate elections.

A larger concern is that ineffective rules are more rampant. To check this possibility, I coded whether I could identify the successor for every autocratic succession rule in the sample. I code a rule as effective only if I verified that a successor existed in that time period. (I code Eswatini/Swaziland as always having an effective rule because the successor is chosen after the monarch's death [Kuper 1947; Potholm 1972].) Now, any measurement error should be undercounting effective rules, not overestimating them.

Ineffective rules are, indeed, a more pervasive problem. I re-code 1,095 country-month observations to not having a rule because I could not identify a successor. Over 64% of the re-coded cases come from six countries. Cameroon is re-coded the most often and is unique in that the succession rule was deliberately manipulated to avoid having a successor. The other five major offenders occur during periods of rampant instability: state failure in Somalia, and military and strongman rule in Guinea, Liberia, Nigeria, and Seychelles that did not formally change or suspend the constitution. The remaining 25 countries have shorter periods where successors are vacant for short periods between appointments due to a successor's death, resignation, or removal. While the measurement error occurs beyond Cameroon, Cameroon is unique in its extended period of actively avoiding a rule's use.

Table E3 replicates the main analyses with effective succession rules. Across all the models, effective rule and democracy have attenuated coefficients. Effective rule is insignificant in models with controls with either country fixed effects or year fixed effects. However, democracy is also insignificant in the model with country fixed effects and controls. The attenuation and loss of significance might stem from a noisier measure that likely has measurement error from undercounting successors. Table E4 re-estimates the models with multiple imputation. Both effective rule and democracy are significant in five of six models. Again, they are both insignificant when the model has country fixed effects and controls. The lack of significance likely stems from losing too much variation and potential measurement error.

Table E1. Core Models Excluding Cameroon

	(1)	(2)	(3)	(4)	(5)	(6)
Autocracy with Succession Rule	4.47*	4.30*	4.49*	15.26*	4.06*	3.82*
	[3.50, 16.03]	[2.63, 16.67]	[3.31, 17.35]	[4.86, 17.95]	[2.33, 15.42]	[2.57, 16.42]
Democracy	5.00*	4.63*	5.93*	16.73*	4.42*	4.24*
	[3.70, 16.66]	[2.81, 16.94]	[3.90, 19.13]	[8.21, 28.41]	[2.38, 16.09]	[3.09, 16.79]
Active External Default		-1.04		-1.88*		-1.17
		[-2.30, 0.22]		[-2.82, -0.94]		[-2.58, 0.24]
Debt/GDP		-0.03*		-0.07*		-0.02*
		[-0.04, -0.01]		[-0.10, -0.03]		[-0.04, 0.00]
GDP Growth		0.05*		-0.03		0.06*
		[0.01, 0.09]		[-0.09, 0.03]		[0.02, 0.09]
Inflation		0.00		-0.08*		0.00
		[0.00, 0.00]		[-0.13, -0.02]		[0.00, 0.00]
Current Account/GDP		-0.03		-0.05		-0.02
		[-0.07, 0.01]		[-0.11, 0.00]		[-0.06, 0.02]
Trade/GDP		0.01		0.04*		0.01
		[0.00, 0.03]		[0.01, 0.06]		[0.00, 0.03]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,294	10,640	7,165	5,907	14,294	10,640
Countries	47	41	23	22	47	41
Pseudo- R^2	0.04	0.24	0.27	0.54	0.16	0.28
Log-Likelihood	-5,801.73	-3,893.99	-3,182.52	-1,733.40	-5,041.59	-3,686.89
AIC	11,609.46	7,805.98	6,415.05	3,526.80	10,139.18	7,441.77
BIC	11,632.17	7,871.43	6,586.97	3,727.31	10,351.08	7,689.03

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for Autocracy with Succession Rule and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for remaining controls are 95% country-clustered HC1 confidence intervals. Cameroon is excluded from the sample.

Table E2. Core Models with Cameroon Re-Coded as Having No Effective Succession Rule before June 2013

	(1)	(2)	(3)	(4)	(5)	(6)
Autocracy with Succession Rule	2.94*	2.51*	2.85*	4.01*	2.66*	2.29*
	[1.82, 15.62]	[1.27, 15.87]	[2.19, 16.13]	[3.31, 17.17]	[1.44, 14.71]	[0.98, 15.63]
Democracy	3.46*	2.81*	4.32*	5.48*	3.00*	2.68*
	[2.24, 16.36]	[1.58, 16.29]	[2.55, 18.53]	[3.09, 20.53]	[1.64, 15.05]	[1.51, 15.98]
Active External Default		-1.02		-1.83*		-1.16
		[-2.26, 0.23]		[-2.73, -0.94]		[-2.55, 0.24]
Debt/GDP		-0.03*		-0.07*		-0.02*
		[-0.05, -0.01]		[-0.10, -0.04]		[-0.04, 0.00]
GDP Growth		0.05*		-0.01		0.06*
		[0.01, 0.09]		[-0.09, 0.06]		[0.02, 0.09]
Inflation		0.00		-0.08*		0.00
		[0.00, 0.00]		[-0.13, -0.02]		[0.00, 0.00]
Current Account/GDP		-0.03		-0.06		-0.02
		[-0.07, 0.01]		[-0.11, 0.00]		[-0.06, 0.02]
Trade/GDP		0.01		0.04*		0.01
		[0.00, 0.03]		[0.01, 0.06]		[0.00, 0.03]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,606	10,952	7,477	6,219	14,606	10,952
Countries	48	42	24	23	48	42
Pseudo- R^2	0.04	0.24	0.27	0.54	0.17	0.28
Log-Likelihood	-5,917.43	-3,973.92	-3,284.09	-1,792.65	-5,114.70	-3,751.77
AIC	11,840.86	7,965.85	6,620.19	3,647.29	10,285.40	7,571.54
BIC	11,863.63	8,031.56	6,800.10	3,856.09	10,497.90	7,819.78

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for Autocracy with Succession Rule and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for remaining controls are 95% country-clustered HC1 confidence intervals. Cameroon is re-coded as having no succession rule from February 1996 through May 2013.

Table E3. Core Models Using Ineffective Succession Rules

	(1)	(2)	(3)	(4)	(5)	(6)
Autocracy with Effective Succession Rule	2.23*	1.48*	2.26*	1.32	1.72*	1.20
	[1.13, 4.02]	[0.27, 3.41]	[0.48, 4.57]	[-1.20, 4.70]	[0.42, 3.54]	[-0.50, 3.27]
Democracy	2.65*	1.76*	3.68*	2.82	2.03*	1.59*
	[1.56, 4.43]	[0.56, 3.92]	[1.53, 8.89]	[-0.75, 18.51]	[0.79, 4.01]	[0.06, 3.89]
Active External Default		-1.02		-1.71*		-1.13
		[-2.27, 0.23]		[-2.63, -0.78]		[-2.52, 0.25]
Debt/GDP		-0.03*		-0.06*		-0.02*
		[-0.04, -0.01]		[-0.10, -0.03]		[-0.04, 0.00]
GDP Growth		0.05*		-0.02		0.06*
		[0.01, 0.09]		[-0.09, 0.05]		[0.02, 0.09]
Inflation		0.00		-0.08*		0.00
		[0.00, 0.00]		[-0.13, -0.02]		[0.00, 0.00]
Current Account/GDP		-0.03		-0.05*		-0.02
		[-0.07, 0.01]		[-0.11, 0.00]		[-0.06, 0.02]
Trade/GDP		0.01		0.03*		0.01
		[0.00, 0.03]		[0.00, 0.06]		[0.00, 0.03]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,606	10,952	7,477	6,219	14,606	10,952
Countries	48	42	24	23	48	42
Pseudo- R^2	0.05	0.24	0.28	0.53	0.17	0.28
Log-Likelihood	-5,866.37	-3,984.95	-3,233.69	-1,832.81	-5,121.62	-3,769.36
AIC	11,738.73	7,987.89	6,519.38	3,727.63	10,299.23	7,606.72
BIC	11,761.50	8,053.60	6,699.29	3,936.43	10,511.73	7,854.97

Notes: * indicates the 95% confidence interval excludes zero. Bracketed entries for Autocracy with Effective Succession Rule and Democracy are 95% pairs cluster bootstrap confidence intervals with $B = 1,000$ and resampling countries with replacement. Bracketed entries for remaining controls are 95% country-clustered HC1 confidence intervals.

Table E4. Core Models Using Ineffective Succession Rules with Multiple Imputation

	(1)	(2)	(3)	(4)	(5)	(6)
Autocracy with Effective Succession Rule	2.23*	1.89*	2.26*	1.53	1.72*	1.59*
	[1.12, 4.08]	[0.73, 3.83]	[0.57, 4.50]	[-0.55, 4.34]	[0.47, 3.37]	[0.25, 3.44]
Democracy	2.65*	2.15*	3.68*	2.63	2.03*	1.85*
	[1.47, 4.54]	[0.88, 4.27]	[1.35, 10.02]	[-0.29, 7.97]	[0.76, 3.73]	[0.49, 3.92]
Active External Default		-1.14*		-1.25		-1.33*
		[-2.25, -0.03]		[-2.52, 0.02]		[-2.64, -0.02]
Debt/GDP		-0.03*		-0.06*		-0.02*
		[-0.04, -0.01]		[-0.08, -0.04]		[-0.03, -0.01]
GDP Growth		0.01		-0.01		0.02
		[-0.02, 0.03]		[-0.07, 0.05]		[-0.01, 0.04]
Inflation		0.00		-0.08*		0.00
		[0.00, 0.00]		[-0.13, -0.03]		[0.00, 0.00]
Current Account/GDP		0.00		-0.04		0.01
		[-0.03, 0.02]		[-0.08, 0.01]		[-0.02, 0.04]
Trade/GDP		0.01		0.04*		0.01
		[0.00, 0.03]		[0.01, 0.06]		[0.00, 0.02]
Country FE	No	No	Yes	Yes	No	No
Year FE	No	No	No	No	Yes	Yes
N	14,606	14,606	7,477	7,477	14,606	14,606
Countries	48	48	24	24	48	48

Notes: * indicates the 95% confidence interval excludes zero. All specifications use 20 multiply imputed datasets. Point estimates and non-control intervals are pooled with Rubin's rules using country-clustered standard errors from each imputed dataset. Bracketed entries for Autocracy with Effective Succession Rule and Democracy are approximate pooled pairs cluster bootstrap confidence intervals, formed by stacking 1000 country-cluster bootstrap draws from each of the 20 imputations.

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